BANK OF THAILAND

Monetary Policy Report

October 2013

Monetary Policy Report

The *Monetary Policy Report* is prepared quarterly by staff of the Bank of Thailand with the approval of the Monetary Policy Committee (MPC). It serves two purposes: (1) to communicate to the public the MPC's consideration and rationales for the conduct of monetary policy, and (2) to present the latest set of economic and inflation forecasts, based on which the monetary policy decisions were made.

The Monetary Policy Committee
October 2013

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Monetary Policy in Thailand

The Monetary Policy Committee

Under the Bank of Thailand Act, the Monetary Policy Committee (MPC) comprise of the Governor and two deputy Governors, as well as four distinguished external members representing various sectors of the country, with the aim to provide monetary policy decisions that are effective and transparent.

The Monetary Policy Objective

The MPC sets monetary policy with the objective to support sustainable and full potential economic growth, without causing inflationary problems or economic and financial imbalances or bubbles.

The Monetary Policy Target

The Cabinet approves the use of quarterly average core inflation with the range of 0.5-3.0 percent as its policy target for 2013, as proposed by the MPC together with the Minister of Finance. In the event that the target is missed, the MPC is required to explain the reasons and resolution thereof to the public.

The Monetary Policy Instrument

The MPC utilizes the 1-day bilateral repurchase transaction rate as the key policy rate to signal the monetary policy stance.

Evaluating economic conditions and forecasts

The Bank of Thailand considers information from all sources, the macroeconomic model, data in each economic sector, as well as direct opinions from large enterprises and small and medium-sized enterprises from all over the country, and various financial institutions to ensure that economic evaluations and forecasts are accurate and covers all aspects, both in the macro and micro levels.

Monetary Policy Communication

Recognizing the importance of Monetary Policy communication to the public, the MPC arrange many forms of communication, both in Thai and English, such as (1) organizing a press statement at 14.00 hrs. on the day of the meeting, (2) publishing Minutes of the MPC meeting two weeks after the meeting, and (3) publishing the Monetary Policy Report every quarter.

Monetary Policy Report

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Growth and Inflation Prospects and Monetary Policy

1. Growth and Inflation Prospects and Monetary Policy

The Thai economy was expected to grow at a slower pace than previously assessed. Private consumption moderated more than expected as households exercised caution towards their spending. Government stimulus declined from previously assessed due to delays in budget disbursements and public infrastructure investment plans. The pickup of the export sector remained weak despite improving outlook for global economic recovery. Meanwhile, inflationary pressure eased mainly due to lower demand pressure. Overall cost pressure rose slightly, but the pass-through of costs to prices was limited.

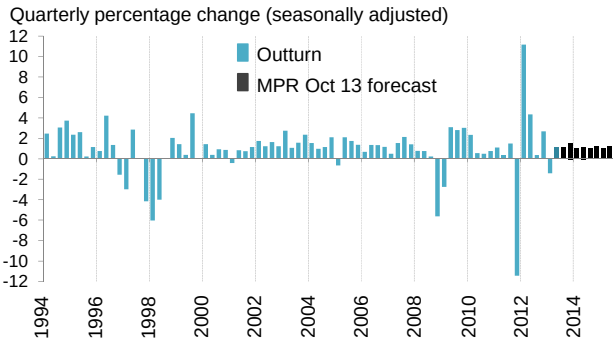
In the past two meetings, the MPC voted to hold the policy rate at 2.50 percent per annum. The MPC deemed that an accommodative monetary policy stance to help support domestic demand remained appropriate given uncertainties in global economic and financial conditions.

1.1 Growth and inflation prospects

The Thai economy was likely to expand at a slower pace than previously projected, while inflationary pressure eased.

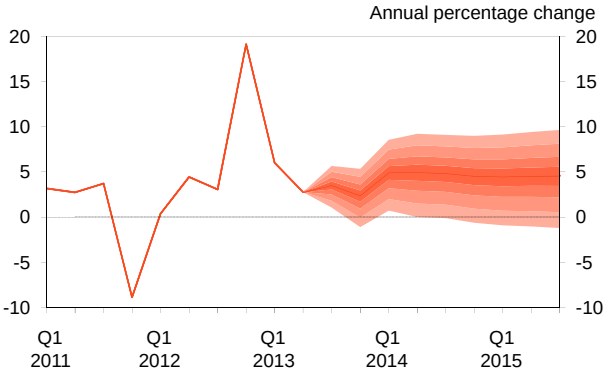
In 2013, the Thai economy was expected to grow at a slower pace than previously projected. Demand slowed down in almost every aspect. The slowdown in private consumption, partly as an adjustment from the previously extraordinary growth (payback period), was likely to protract and intensify more than expected. In addition, the decline in consumer confidence led households to exercise more caution in their spending. Public spending also declined from the previous projection due to lower-than-expected disbursements from the 2013 budget by the central government and delays in infrastructure investment plans. Furthermore, exports recovered

Chart 1.1 Thailand's GDP growth



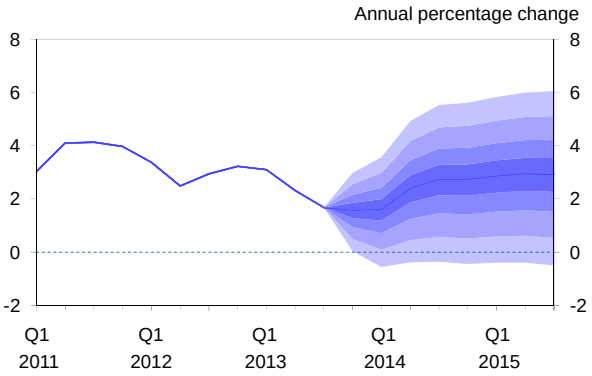
Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand
Note: At 1988 prices (seasonally adjusted)

Chart 1.2 GDP growth forecast



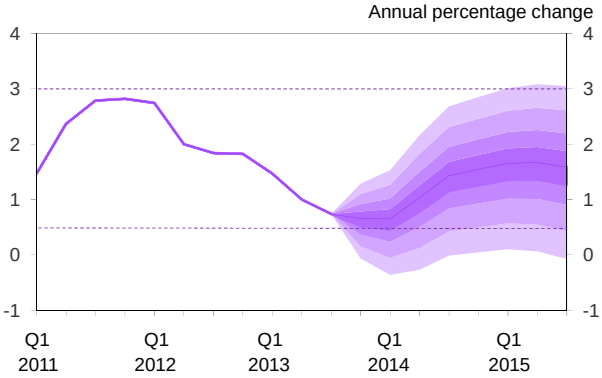
Note: The fan chart covers 90 percent of the probability distribution.

Chart 1.3 Headline inflation forecast



Note: The fan chart covers 90 percent of the probability distribution.

Chart 1.4 Core inflation forecast



Note: The fan chart covers 90 percent of the probability distribution.

slowly as they had not yet benefited from the pickup in G3 economies. With regard to the outlook in 2014, the MPC assessed that the Thai economy would gradually gain momentum from 2013, thanks to the export sector which would take on a greater role in driving the Thai economy, consistent with the expected pickup in trading partners' economic outlook. Moreover, the drag on the economy from the slowdown of private consumption was likely to decline. Nevertheless, the economic growth projection for 2014 was lower than previously estimated because the weak recovery in exports would adversely affect private consumption and investment until 2014 **(Chart 1.1** and **Table 1.1)**.

The fragile global economy remained the key risk factor that could cause the Thai economy to expand lower than the baseline projection. The global economy would recover continuously at a gradual pace. Risks to recovery, however, were tilted towards the downside. The public debt ceiling problem could halt US economic recovery. Meanwhile, although there were signs suggesting that euro area economies had already passed the trough, recovery would be slow, while structural problems remained to be resolved. In Japan, the strong economic recovery in Japan could be hindered by next year's plan to raise the consumption tax. **Domestic risk factors were also on the downside**. It was possible that the structural constraints of Thailand's exports could cause the export sector to recover more slowly than expected. Moreover, public spending on infrastructure investment projects could be further delayed. Overall, the MPC assessed that risks to economic growth would tilt towards the downside more than previously assessed. The fan chart for growth was thus skewed down at a greater degree compared to the previous projection throughout the projection period **(Chart 1.2)**.

Inflationary pressure eased from lower demand pressure, while cost pressure increased slightly. Inflationary pressure from demand was likely to decline from previously assessed following the economic slowdown. Meanwhile, overall production costs increased slightly, as expected, following gradual LPG price hikes since September 2013. Inflation projections were thus adjusted down in 2013 and 2014 **(Table 1.1)**. Furthermore, the MPC assessed that risks to inflation would slightly tilt towards the downside given the possibility that demand pressure could be lower than assessed in the baseline case, in line with downside risks on economic growth outweighing upside risks. Fan charts for inflation were thus skewed downwards throughout the projection period **(Charts 1.3 and 1.4)**.

Table 1.1 Forecast summary

Percent	2012*	2013	2014
GDP growth	6.5	3.7	4.8
		(4.2)	(5.0)
Headline inflation	3.0	2.2	2.4
		(2.3)	(2.6)
Core inflation	2.1	1.0	1.2
		(1.1)	(1.4)

Note: * Outturn
( ) Monetary Policy Report July 2013

Source : Office of the National Economic and Social Development Board, Ministry of Commerce, and calculation by Bank of Thailand

1.2 Economic outlook

The Thai economy was likely to grow at a lower rate than previously projected due to weakening private spending, lower-than-expected government stimulus, and slow recovery in exports. Nevertheless, the economy was expected to improve gradually in 2014, thanks to the export sector which would take on a greater role in driving the Thai economy, the pickup in private consumption after the payback period in 2013, as well as continuous public stimulus.

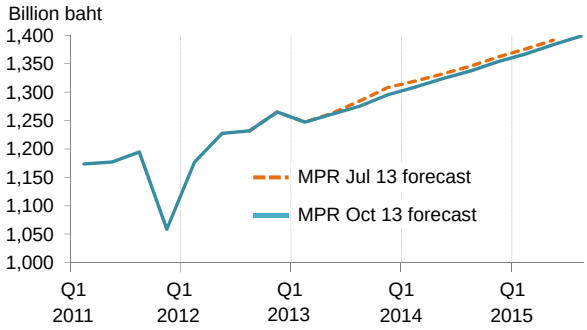
The Thai economy was poised to moderate

Thai economic growth in 2013 was expected to slow down from previously assessed, given that drivers of economic growth, both domestic demand and export recovery, were lower than previously projected. In the second quarter, private consumption, particularly on durable goods, slowed down by more than expected. Households also exercised more caution in their spending following higher debt burden and lower consumer confidence. Public spending was likely to be lower than previously assessed due to lower budget and non-budget expenditures. The two trillion baht infrastructure projects were likely to be postponed to 2014, rather than 2013 Q4 as previously expected. At the same time, merchandise exports were expected to recover slowly in line with major countries' economic outlook. However, Thai exports did not benefit as much as it should have from the global economic recovery. This was because the share of sophisticated products in Thai exports was not high. Nonetheless, private investment was poised to increase slightly from the previous assessment, thanks to strong investment growth in services and utilities as well as in construction. The tourism sector was likely to expand more than expected, while

imports of goods and services were expected to decelerate in line with softer domestic demand and slow export recovery.

Weakening momentum of domestic demand and delays in export recovery led to a lower economic growth outlook (Chart 1.5 and Table 1.2), especially in 2013 where economic growth projections were adjusted down rather significantly **(Table 1.1)**. For 2014, the MPC assessed that the Thai economy would gradually gain momentum from 2013, thanks to the export sector which would take on a greater role in driving the Thai economy, consistent with the pickup in trading partners' economic outlook. Moreover, the slowdown in private consumption, which had put a drag on the economy, was likely to improve. In addition, private investment was expected to increase with the continuation of previously planned investments and those related to the government's large-scale investment projects. Nonetheless, Thai economic growth in 2014 was projected to be lower than the previous projection, due to adverse knock-on effects from delayed export recovery on private consumption and investment which would continue into 2014.

Chart 1.5 Level of GDP



Source: Office of the National Economic and Social Development Board and calculation by Bank of Thailand
Note: At 1988 prices (seasonally adjusted by the Bank of Thailand)

Table 1.2 Forecasts for GDP and components

Percent	2013	2014
GDP growth	3.7	4.8
Domestic demand	3.1	4.7
Private consumption	2.6	2.9
Private investment	3.0	8.7
Government consumption	2.5	3.8
Public investment	11.3	10.6
Exports of goods and services	5.0	7.0
Imports of goods and services	4.8	7.0

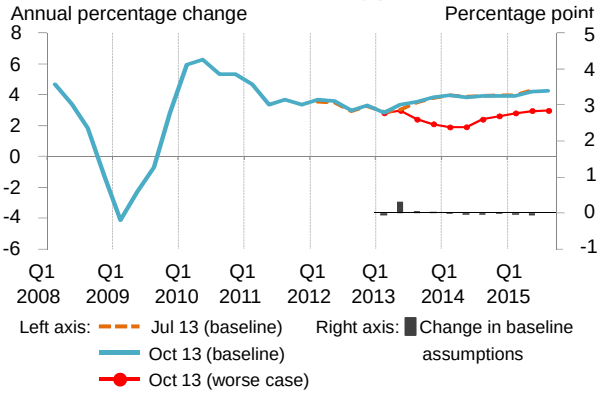
Note: At 1988 prices

The global economy should recover gradually

The global economy was expected to improve slightly, thanks to euro area economies which appeared to have passed the trough, and a pickup in the Japanese economy.

Thailand's trading partners' economies were expected to recover gradually. Compared to the previous projection, the momentum in 2013 increased slightly, while remaining close to the previous projection in 2014 (Chart 1.6). Euro area economies had just started to pass the trough and improved more than market expectation, recovery was thus expected to pick up slightly higher this year. The Japanese economy gained momentum from public stimulus measures. The US economy continued to recover, although the reduction in government spending would remain a key constraint to economic growth in future periods. Meanwhile, Asian economies were likely to benefit from the global economic recovery in different degrees, with North Asian economies benefiting more than the rest thanks to their export structure which comprised mostly sophisticated products.

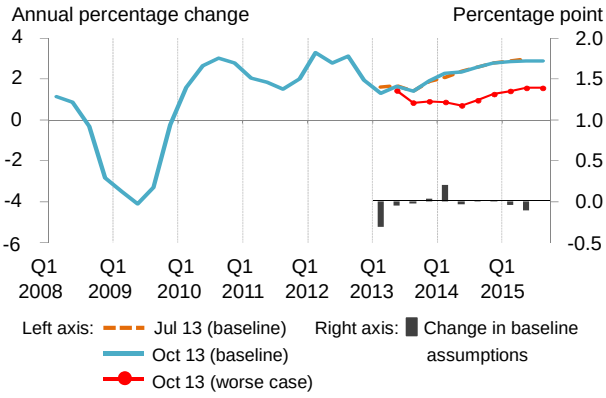
Chart 1.6 Growth assumptions for Thailand's trading partners



Note: Weighted by each country's share in Thailand's total exports

The US economy showed signs of continuous recovery, as previously assessed (Chart 1.7). In the second quarter, investments in the housing sector expanded quite robustly, reflecting continued improvements in demand. The MPC assessed that going forward, the US economy was poised to improve gradually. This was consistent with steady improvements in economic fundamentals, particularly in the housing sector where clear signs of recovery were observed, which would benefit households' financial health and support future consumption. Moreover, the Fed's decision to continue purchasing assets at a monthly pace of 85 billion US dollars would help maintain continuous economic recovery. Although private spending in the

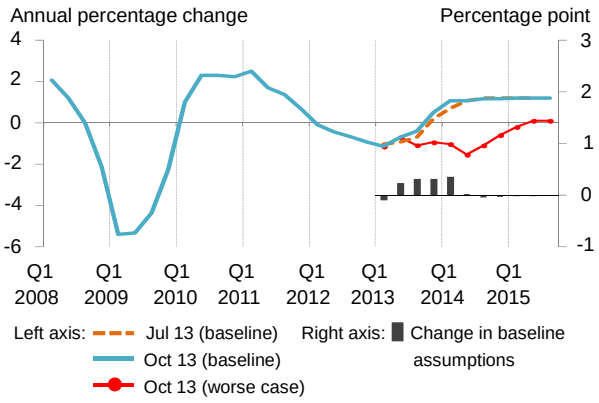
Chart 1.7 Growth assumptions for the US



US was likely to recover going forward, risks from reduced government spending and resolution to sovereign debt problems could cause uncertainties in the market and periodically affect investor confidence.

Euro area economies appeared to have passed the trough in the second quarter and were likely to recover stronger than previously assessed (Chart 1.8). Indicators in 2013 Q2 signaled an end to the six quarter economic recession, with production and spending activities beginning to improve. Meanwhile, the economy started to stabilize, with the unemployment rate of major member economies, such as Germany, France and Italy, as well as the UK, falling more than expected. Going forward, economic recovery should continue, supported by (1) improved business sentiment, (2) a pickup in consumption in major member countries, in particular Germany which grew on the back of robust labor market, and (3) reduced fiscal drag. Nevertheless, the economy would recover at a slow pace, due to the deleveraging process in both the public and private sectors. Moreover, most countries would still be faced with structural problems which would take time to resolve.

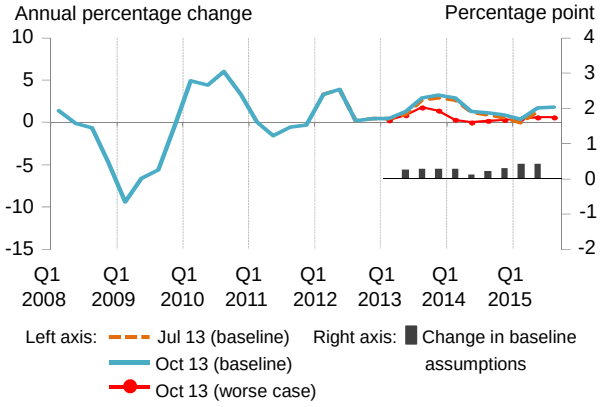
Chart 1.8 Growth assumptions for the euro area



The MPC, however, evaluated that risks to the euro area's economic recovery could stem from the sovereign debt problems which could intensify as a result of political uncertainty in those member countries with weak economies, as well as structural problems which would take time to address.

The Japanese economy gained momentum throughout the projection period (Chart 1.9). Economic data in the second quarter reflected clearer signs of recovery, especially in the manufacturing sector and labor market. Government stimulus measures and continuous monetary policy easing would help pull the economy out of deflation. Manufacturing and private consumption started to pick

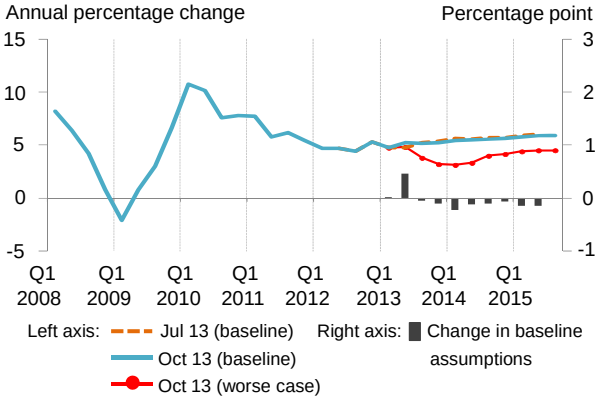
Chart 1.9 Growth assumptions for Japan



up in line with consumer confidence, which would help accommodate the hike in consumption tax from 5 percent to 8 percent in April 2014. The MPC, however, assessed that going forward economic recovery in Japan could somewhat be affected by the tax increase if the economy was not resilient enough to withstand the hike. Nevertheless, this measure was considered an important step that would help restructure Japan's economy and resolve the sovereign debt problem in the long term.

In 2013, Asian economies (excluding Japan) were likely to expand slightly higher than previously assessed, but would grow at a lower rate in 2014 (Chart 1.10). Asian economies improved slightly in 2013 according to better-than-expected figures in the second quarter of a number of countries, such as the Philippines and Hong Kong, as well as China whose economy picked up in line with domestic demand and manufacturing production. Nevertheless, for 2014, Asia's economic outlook decreased slightly from the previous assessment, owing to an anticipated economic slowdown in ASEAN countries following weaker domestic demand. This was in part due to impacts from economic measures set up to maintain monetary, fiscal and balance of payment stability. Meanwhile, the export sector was expected to recover at a slow pace. Exports of Asian countries could benefit from the global economic recovery in different degrees, depending on each country's manufacturing and export structure. In this connection, countries in North Asia, for example South Korea and Taiwan, which mainly export more sophisticated products would benefit more. On the other hand, countries that mainly export commodities and products that do not require advanced technology, such as countries in ASEAN, would not fully benefit from the global economic recovery because they would be unable to

Chart 1.10 Growth assumptions for Asian economies (excluding Japan)



Note: Weighted by each country's share in Thailand's total exports

produce products that could keep pace with the changing demand of the global market.

Thai exports were poised to grow at a lower rate than previously projected.

Thai exports were likely to recover slower than expected, owing to structural constraints of the export sector. Meanwhile, exports of services were poised to expand continuously. Imports of goods and services decelerated in line with weak exports and domestic demand.

The export sector was likely to expand at a lower rate than previously projected (Table 1.3). In 2013 Q2, merchandise export volume was much lower than assessed, with exports declining in almost every category, including agricultural, fishery, manufacturing and petroleum products. Nonetheless, in the third quarter, merchandise exports showed signs of improvement, but growth remained subdued. The MPC assessed that apart from temporary factors, namely supply shortages and deteriorating price competitiveness in rice exports, Thai exports would also be faced with limitations from the export structure. This was because most exported goods in Thailand were not produced using advanced technology, and as a result, may not benefit from the global economic recovery as much as countries that exported more sophisticated products, as exporters were unable to keep pace with technology changes to satisfy global demand (more details in BOX: Structural constraints in Thai manufacturing production and long-term economic growth). Nonetheless, in the periods ahead, Thailand's trading partners, in particular G3 countries, should be on a recovery trend, while Asian economies should continue to expand. Thai exports were thus expected to recover more concretely in 2014, attributable mainly to exports in electrical appliances, automobiles and textiles which were likely to grow in line with global

demand. **At the same time, exports of services in terms of tourist revenue were expected to increase from previously assessed,** thanks to high growth in the number of tourists, especially from China, Malaysia and Russia.

Table 1.3 Forecasts for the external sector

	2013	2014
Growth in value of exports* (F.O.B., percent)	1.0	7.0
Growth in value of imports* (F.O.B., percent)	2.8	7.5
Trade balance (billion U.S. dollars)*	2.0	1.1
Current account balance (billion U.S. dollars)*	-6.8	-7.0

Note: *Data revision according to definitions in IMF's Balance of Payments Manual, 6th edition (BPM6), and Ministry of Commerce's revised database

Imports of goods and services in 2013 moderated further than previously assessed (Table 1.3), owing to sluggish merchandise exports and domestic demand. Nevertheless, imports were likely to increase in 2014 in line with improved economic conditions. Moreover, capital imports in the medium- to long-term should gain support from a gradual pickup in investments of the private sector to restructure its manufacturing production, and from the government's large-scale investment projects.

The current account balance[1/] was likely to record a deficit in 2013, which should continue into 2014 (Table 1.3). The current account deficit in 2013 was mainly due to exceptionally high imports of gold during the middle of the year when gold prices declined. In addition, Japanese companies (particularly in the automobile industry) remitted dividends back to Japan more than usual due to extraordinary high earnings in 2012 and to take advantage of the weak

[1/] Including reinvested earnings

yen. In 2014, the current account was likely to remain in deficit, due to imports of capital and machinery which were expected to increase in line with the investment trend of the private and public sectors.

Private demand softened more than expected

Private demand was likely to weaken more than expected due to a slowdown in consumption during this payback period, while investments were poised to expand slightly higher than previously assessed.

Private consumption was likely to expand at a lower rate than previously projected. In 2013 Q2, purchases of durable goods moderated by more than previously expected. In addition, households became more cautious in their spending on the back of higher debt burden and weakening confidence, consistent with the consumer confidence in future income index which had not yet improved. In addition, financial institutions' lending standards remained tight. As a result, private consumption in the latter half of 2013 should continue to weaken. Nevertheless, the MPC assessed that private consumption would gradually improve and return to its normal growth level around mid-2014, supported by (1) demand for durable goods, including automobiles, which were expected to recover gradually and return to normal levels during the middle of next year, and (2) income and employment that were likely to improve in line with export recovery, which would help improve households' financial conditions and increase their confidence to spend.

Private investment in 2013 was expected to expand at a higher rate than previously projected. In the past periods, investments in services and public utilities as well as construction grew stronger than previously assessed, in particular commercial construction both within and outside the municipal area. Nevertheless, signs of an increase in

new investments were not clearly observed. Due to the weakening prospect of domestic demand, some entrepreneurs could postpone their investments in waiting to assess economic conditions. Meanwhile, recovery of merchandise exports was also delayed. Going forward, the MPC assessed that investments would expand more strongly in 2014, supported by (1) the likely pickup in domestic and foreign demand, (2) investments in machinery to accommodate labor shortage problems and improve productivity in accordance to original plans, (3) an increase in construction investment, partly to accommodate higher demand stemmed from the regional economic integration under the AEC framework, (4) strong business financial health, as reflected by improving operating profit margins, (5) high amount of investment projects receiving promotion certificates issued by the Board of Investment (BOI), and (6) accommodative monetary conditions conducive to business operations.

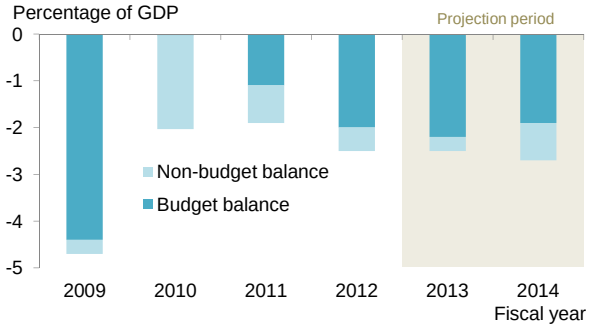
Looking ahead, the MPC viewed that private investment would still be faced with risk factors which would need to be monitored, including (1) delays in budget disbursements and large-scale public investment projects which could delay the crowding-in effect on businesses' investment decisions and (2) labor problems, including labor shortages, low labor productivity and a mismatch of the demand and supply of labor in terms of labor skills, which would remain key constraints to businesses.

Fiscal stimulus declined from the previous assessment

The public sector would continue to provide economic stimulus throughout the projection period, but at a lesser extent than previously anticipated, owing to lower-than-expected budget disbursements and delays in non-budget expenditures in some infrastructure investment projects.

Fiscal policy would continue to provide economic stimulus going forward as reflected by the 2013 and 2014 budget, including expenditures of the central government and from non-budgetary loans which were likely to record a higher deficit of 2.5 percent and 2.7 percent of GDP, respectively. Nevertheless, the budget deficit would decline from 300 billion baht in fiscal year 2013 to 250 billion baht in fiscal year 2014, consistent with plans to gradually reduce the budget deficit in order to achieve a balanced budget in future periods. However, expenditures from non-budgetary loans were expected to increase and compensate for the decline in budgetary expenditures **(Chart 1.11)**.

Chart 1.11 Assumption on public sector expenditure



Note: Non-budgetary spending includes (1) the Mega Investment Project (Strong Thailand), (2) the water management project, (3) the long-term infrastructure investment project, and (4) the Development Policy Loan (DPL)

Source: Public Debt Management Office and Bureau of the Budget and calculation by Bank of Thailand

Compared to the previous projection, fiscal stimulus declined overall due to low budget disbursements as a share of the total amount of allocated funds, as well as the delay in disbursements of transfers and allocation of funds to local governments. Furthermore, not much progress was observed in the water management and the two trillion baht infrastructure projects, due mainly to problems in the approval process **(Table 1.4)**. The MPC, therefore, (1) reduced the assumption on public expenditures, both current and capital, for the 2014 budget, to be consistent with the 2013 budget disbursement rate which stood at only 90.5 percent, lower than the target disbursement rate of 93 percent. Nevertheless, the MPC expected that the carry-over of the capital budget would still be disbursed at the start of fiscal year 2014; (2) reduced the assumption on investment expenditures of the two trillion baht infrastructure development projects throughout the projection period, from the previous expectation that the projects would commence in 2013 Q4 to 2014 Q1; and (3) slightly reduced the assumption on the amount of funding for the water management projects in 2013, consistent with the most recent updates on the projects' progress.

Disbursements were possible for projects that required immediate attention, while long-term projects were currently subject to a public hearing as stipulated by the Administrative Court.

Table 1.4 Assumptions on public sector expenditure

Unit: Billion baht	Fiscal year	
	2013	2014
General government consumption	1,591.5	1,730.2
Public investment	705.8	841.0
Total	2,297.3	2,571.2

Note: Assumptions include expenditures under the water management projects and the infrastructure investment projects

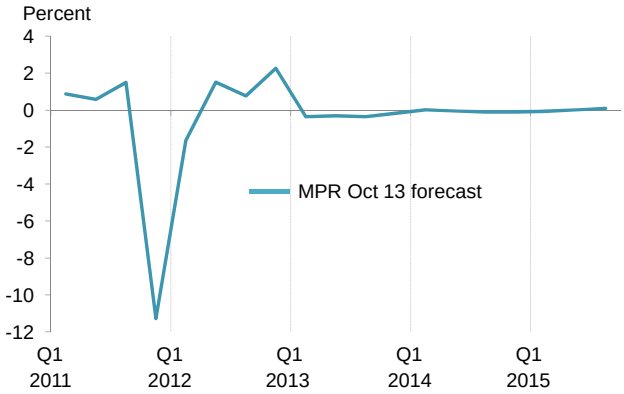
Source: Bureau of the Budget and calculation by Bank of Thailand

Inflationary pressure was likely to ease

Inflationary pressure had been easing continuously since the beginning of the year and should ease further due to softening demand, while cost pressure increased slightly.

Inflationary pressure from the demand side was likely to ease more than previously assessed, in line with the weakening economy. Households spent more carefully on account of lower confidence and possible impacts from the higher debt burden. As a result, upward price adjustments of goods and services were limited. The prospect of lower inflation was consistent with the slightly negative output gap during the latter half of 2013 **(Chart 1.12)**. Going forward, however, improvements in the economy would lead to higher demand pressure which would help facilitate price adjustments of goods and services. Consequently, inflation in 2014 would be higher than in 2013, in tandem with the output gap moving closer to zero.

Chart 1.12 Output Gap



Cost pressure increased slightly overall in line with gradual hikes in the LPG price since September 2013 and higher-than-expected world oil prices in 2013 Q3 following the short-term tightening of oil supply due to the unrest in the Middle East and Africa, especially in Syria and Libya, as well as improved investor confidence in the US and euro area's economic recovery. The MPC assessed that going forward, **Dubai crude oil prices** would remain stable at 105 US dollars per barrel until the first half of 2014 before increasing to 110 US dollars per barrel in the latter half of 2014 and remaining at that level for the rest of the projection period **(Chart 1.13)**. This was consistent with an expected increase in demand for crude oil following the global economic recovery. Meanwhile, the supply of world crude oil was likely to increase slightly following higher crude oil production in non-OPEC countries which would compensate for the possible decline in crude oil production in OPEC countries. The MPC thus deemed that supply and demand of world crude oil would likely balance out throughout the projection period. As a result, the high case and low case assumptions on the Dubai oil price were balanced at half a standard deviation above and below the baseline path. At the same time, **world non-fuel commodity prices declined (Chart 1.14)** from both lower-than-expected metal prices which fell in line with lower demand from China, as well as food prices which declined in the past periods following high output. The MPC assessed that going forward, commodity prices were likely to remain stable given that the global economic recovery would be gradual. Meanwhile, **domestic fresh food prices** for 2013 would be similar to the previous assumption, but would be adjusted down for 2014, especially the price of rice. The decline in rice price stemmed from the government's decision to reduce the off-season rice pledging price, together with a possible decline in global rice price following high world stock of rice.

Chart 1.13 Assumptions on Dubai oil price

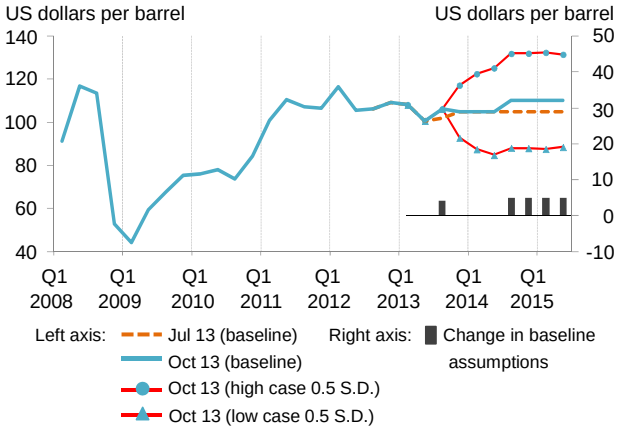


Chart 1.14 Assumptions on non-fuel commodity prices

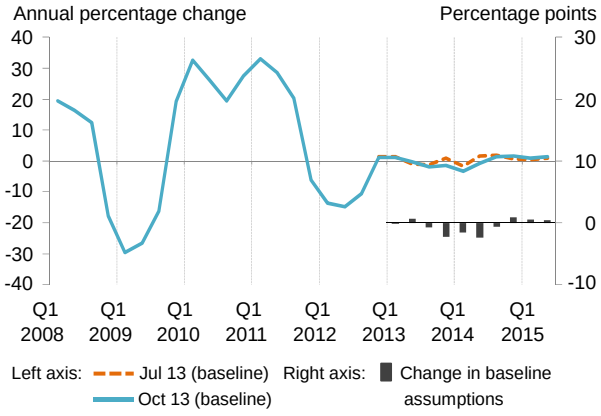
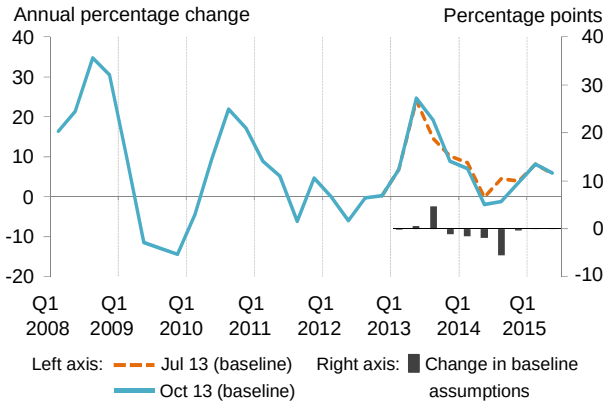


Chart 1.15 Assumptions on fresh food prices



The high stock occurred because major rice importers, such as Indonesia, had started to produce more rice as import substitution **(Chart 1.15)**.

Moreover, Thailand's policy on energy prices would also have an impact on cost pressure. The MPC maintained the assumption of a diesel excise tax exemption throughout the projection period and gradually increased the LPG price for the t ransport sector starting in March 2014 to adhere to the Committee on Energy Policy Administration's (CEPA) decision. This was expected to keep cost pressure of the transport sector at a low level.

Looking ahead, the MPC assessed that risks to inflation would tilt slightly towards the downside given the possibility that economic growth could grow less than expected, which in effect, would lead to lower cost pass-through.

Alternative scenarios

The MPC appraised that there were various scenarios where Thai economic growth could deviate from the baseline case. The MPC thus took these scenarios into consideration to reflect key risk factors on the Thai economy and inflationary pressure going forward.

Scenario 1: The global economy recovered slower than assessed. Risks stemming from the resolution of structural problems in G3 countries could delay economic recovery. Some examples include reductions in the fiscal deficit and resolution of sovereign debt problems in the US which could prolong, while uncertainties regarding the timing of QE tapering could periodically effect investor and consumer confidence. Additional risks included political uncertainties and impacts from fiscal austerity measures in the euro area, as well as a possibility that Japan's economy may not be resilient enough to withstand next year's consumption tax hike. These

factors could prolong economic recovery of G3 countries, which in turn could also lead to lower economic growth in China and Asia. Under this scenario, the MPC appraised that Thailand's economic growth could be lower than assessed in the baseline case. This would be attributable to sluggish merchandise exports on the back of weak trading partners' economies. Moreover, farm income, especially income from rubber, would not recover due to China's softening economic prospect.

Scenario 2: Further delays in the two trillion baht infrastructure projects. Although the Senate accepted the loan bill in principle which allowed the Ministry of Finance to borrow two trillion baht for infrastructure development on transportation in the first reading, it was possible that the process could be delayed. This was because some senators requested the Constitution Court to give a ruling on the loan bill to determine if it contravened with the constitution or not. This could cause the amount of investment funds under this project to differ from expected. Should the loan bill process encounter problems, the government would be unable to approve and borrow funds to proceed with the various projects as planned. **The MPC considered the case where the disbursement rate under this plan was lower than expected**. In this consideration, some projects would still be able to proceed immediately in 2014 and 2015, namely projects under state enterprises' original plans, such as the sky train project, the suburban rail system project, airport link and the project to install road equipment and resolve traffic problems. Under this scenario, the MPC assessed that the Thai economy would expand less than the baseline case due to delays in public investment which would cause repercussions on private investment.

Under both scenarios, the MPC appraised that an accommodative monetary policy stance was necessary to support recovery in domestic demand and must be prepared to withstand capital flows volatility that could stem from uncertainties over the US' implementation of monetary and fiscal policies.

1.3 Monetary policy decision

Monetary policy stance remained accommodative

In the past two meetings, the MPC voted to hold the policy rate at 2.50 percent per annum. The MPC deemed that an accommodative monetary policy stance to help support domestic demand remained appropriate given rapidly changing global economic and financial conditions.

In its meeting on August 21, 2013, the MPC assessed that the global economy, especially G3 countries, was likely to improve gradually. The Chinese economy started to show signs of improvement after having decelerated in the second quarter, while Asian economies grew somewhat lower than expected. The Thai economy continued to soften in the second quarter, broadly in line with the MPC's previous assessment due to sluggish private consumption and exports. Looking ahead, domestic demand and exports were expected to recover gradually, with some risks of delay, partly owing to supply-side constraints. Meanwhile, inflationary pressure eased further, due mainly to lower demand pressure. The MPC deemed that the current accommodative monetary policy was necessary and appropriate for the ongoing adjustments in the Thai economy, while risks to financial stability and uncertainties regarding global financial conditions warranted continued monitoring. The MPC thus voted 6 to 1 to maintain

the policy rate at 2.50 percent per annum. One member voted to lower the policy interest rate by 25 basis points, to support the continuity of growth in future periods.

In its subsequent meeting on October 16, 2013, the MPC appraised that the global economy would improve gradually, though with substantial downside risks from uncertainties regarding the timing of QE tapering, as well as sovereign debt problems in the US which could affect global financial and economic stability. The Thai economy began to stabilize and showed signs of improvement in the export sector, in line with trading partners' economic recovery. Inflation edged lower in line with production costs which remained low and subdued demand pressure. Looking ahead, the MPC expected that the Thai economy was likely to recover at a slow pace, in line with recovery in the export sector and waning effects from the decline in durable good purchases which had put a drag on the economy. Fiscal stimulus, despite delays in disbursement of some public expenditures, would still lend support to growth. The MPC assessed that the current accommodative monetary policy remained appropriate in supporting economic recovery in the periods ahead, given uncertain global economic and financial conditions. The MPC thus voted unanimously to maintain the policy rate at 2.50 percent per annum.

1.4 Appendix:

Table 1.5 Forecast assumptions			
	2012	2013	2014
Dubai oil price (U.S. dollars per barrel)	109.3	105.0	108.0
Non-fuel commodity prices (%YoY)	-9.8	-0.6	-0.3
Fresh food prices (%YoY)	-1.5	14.6	1.7
Minimum wage in the Bangkok Metropolitan Region (baht per day)	279	300	300
Government consumption (%YoY)[1/]	10.5	5.5	6.6
Public investment (%YoY)[1/]	11.7	15.4	15.0
Fed Funds rate (% at year-end)	0.13	0.13	0.13
Trading partners' economic growth (%YoY)[2/]	3.4	3.4	3.9
Regional currencies vis-à-vis the US dollar (Index)[3/]	108.4	108.5	107.4

Note: [1/] Including spending on water management projects and infrastructure investment projects
[2/] Weighted by each country's share in Thailand's total exports
[3/] Appreciation against the US dollar indicated by a decrease

Table 1.6 GDP growth forecasts by research houses		
	2013	2014
NESDB[1/]	3.8-4.3	n.a.
Standard Chartered	4.0	5.5
DBS	4.0	5.2
Tisco Securities	4.0	4.5
Kiatnakin Bank	3.8	4.8
FPO[2/]	3.5-4.0	4.6-5.6
BOT	3.7	4.8
Morgan Stanley	3.7	4.4
Nomura	3.5	4.2
Siam Commercial Bank	3.4	4.5
Thai Military Bank	3.1	4.9
UBS	2.8	4.5
HSBC	2.8	4.4
Credit Suisse	2.7	4.5

Note: Compiled and published by Reuters on October 15, 2013, except:
[1/] Published on August 19, 2013, with the release of GDP data for 2013 Q2
[2/] Published on September 27, 2013
Presented in descending order of 2013's forecast

Table 1.7 Headline inflation forecasts by research houses		
	2013	2014
NESDB[1/]	2.3-2.8	n.a.
Standard Chartered	2.5	3.2
DBS	2.4	3.5
UBS	2.4	2.7
Kiatnakin Bank	2.4	2.6
HSBC	2.3	2.8
Thai Military Bank	2.3	2.7
Morgan Stanley	2.3	2.6
Siam Commercial Bank	2.3	2.5
FPO[2/]	2.0-2.5	2.3-3.3
TISCO Securities	2.2	3.0
Credit Suisse	2.2	2.5
BOT	2.2	2.4
Nomura	2.1	2.3

Note: Compiled and published by Reuters on October 15, 2013, except:
[1/] Published on August 19, 2013, with the release of GDP data for 2013 Q2
[2/] Published on September 27, 2013
Presented in descending order of 2013's forecast

Table 1.8 Probability distribution of GDP growth forecast									
Percent	2013		2014				2015		
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 12	0	0	0	0	1	0	0	0	0
10-12	0	0	0	2	3	2	1	2	2
8-10	0	0	0	10	12	7	5	6	7
6-8	0	6	5	26	23	18	14	14	15
4-6	0	42	23	32	27	26	23	23	22
2-4	100	43	39	21	20	24	25	24	23
0-2	0	9	25	8	10	15	18	18	17
(-2)-0	0	0	7	2	3	6	9	9	9
< (-2)	0	0	1	0	1	2	4	4	5

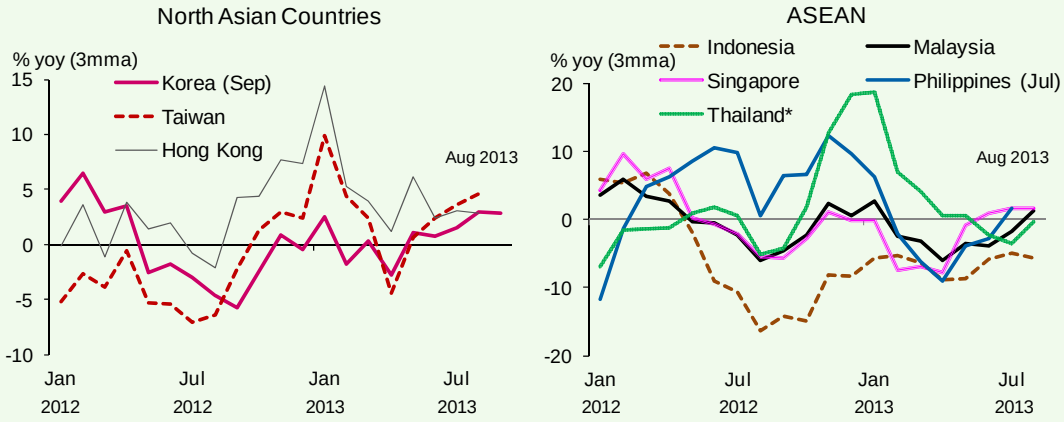
Table 1.9 Probability distribution of headline inflation forecast								
Percent	2013	2014				2015		
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 7	0	0	0	1	1	1	1	1
6-7	0	0	1	2	2	3	3	3
5-6	0	0	4	6	6	7	8	8
4-5	0	2	10	13	13	14	14	14
3-4	4	10	19	20	19	19	19	19
2-3	25	24	24	22	21	20	20	19
1-2	42	31	21	17	17	16	16	16
0-1	23	22	13	11	11	10	10	10
(-1)-0	5	9	6	5	6	5	5	6
< (-1)	0	3	2	2	3	3	3	3

Table 1.10 Probability distribution of core inflation forecast								
Percent	2013	2014				2015		
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
> 4.0	0	0	0	0	0	0	0	0
3.5-4.0	0	0	0	0	1	1	1	1
3.0-3.5	0	0	0	2	3	4	4	4
2.5-3.0	0	0	1	6	8	10	10	9
2.0-2.5	0	1	6	14	16	17	17	16
1.5-2.0	1	5	16	22	22	22	21	20
1.0-1.5	16	19	25	23	22	20	19	20
0.5-1.0	44	33	25	18	16	14	14	15
0.0-0.5	31	27	16	10	9	8	8	9
< 0.0	7	16	10	6	5	4	5	6

Structural constraints of Thai manufacturing production and long-term economic growth

The recent recovery of global economy has led to a pickup in exports of many countries, in particular those in North Asia which have seen their exports rising since the second quarter of this year. Thai exports, however, have not yet benefitted much from this global recovery **(Chart 1)**. This is mainly due to the structural constraints of the manufacturing structure in Thailand's export industry, particularly in the electronics industry, which has not appeared to respond to changes in technology and global demand. Even when the global economy does fully recover, it is possible that Thai exports may not resume high growth and serve as the key driver of Thai economic growth as in the past.

Chart 1 Export growth of regional economies

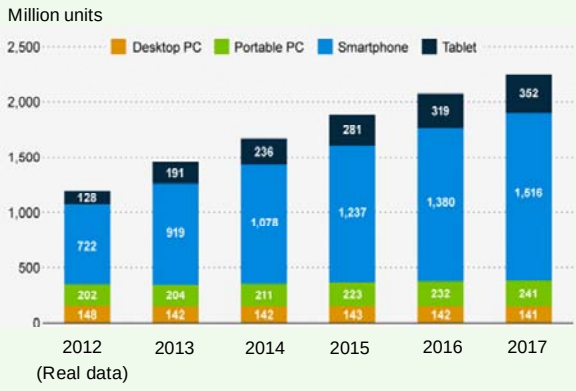


Note: *Thai export data is on custom basis

Source: CEIC

Hard disk drives (HDD) and integrated circuits (IC) are two key drivers of the manufacturing and export sectors in Thailand, accounting for around 12 percent of total exports. Over the past 10 years (2003-2012), exports of these products had been expanding continuously, averaging at 7.8 and 3.8 percent per year, respectively. However, during the first 8 months of 2013, HDD exports contracted year-on-year by 7.7 percent. For IC, although exports picked up slightly in line with global demand, growth was lower and slower than IC exports of other countries in the region, in particular South Korea and Taiwan. These situations have highlighted limitations of the production capacity in Thailand's electronics industry which has failed to adapt in order to retain its competitive edge as a production base for exports.

Chart 2 Estimation of global network equipment use

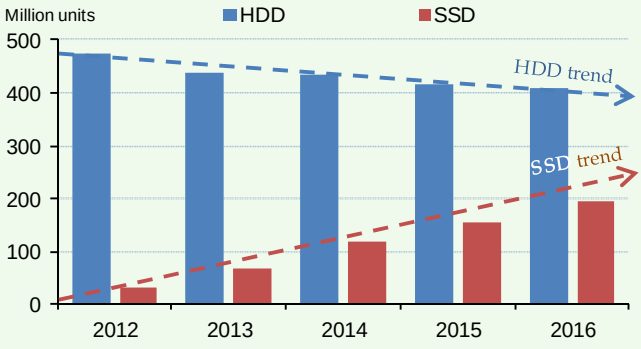


Source: International Data Corporation (IDC)

Thailand is the production base for the world's largest HDD manufacturers. However, demand for HDD has been falling steadily as consumers' preference changed

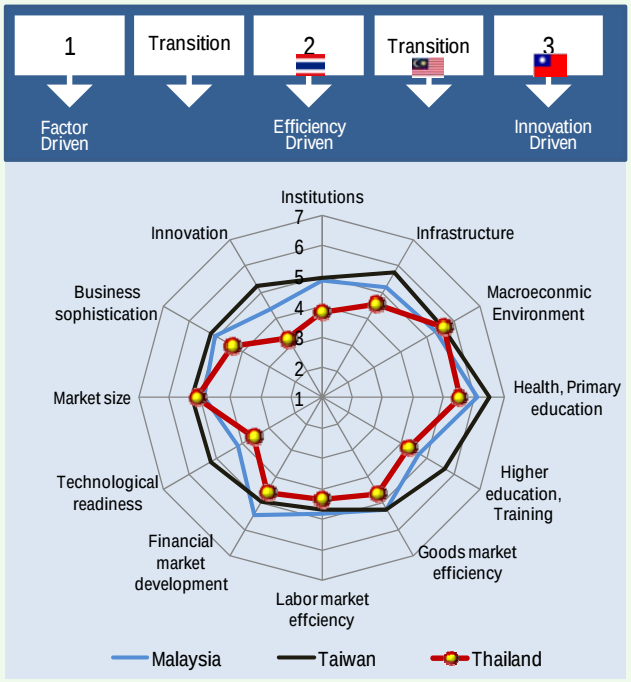
from personal computers, which uses HDD as a memory unit, to Smartphones or Tablets, which use solid state drives (SSD) as a memory unit (**Chart 2 and Chart 3)**. Although the world's largest HDD manufacturers have attempted to maintain competitiveness by taking over and entering into joint ventures with SSD manufacturers, Thailand will continue to be the production base for HDD and has not yet been considered as a potential SSD production base. This is due to the lack of a supporting cluster for SSD industry as Thailand's IC industry is not in the supply chain for these high-technology products. This reflects that Thailand may not have sufficient capacity to draw investors to relocate high-technology production to Thailand. One of the main reasons is the lack of readiness of human resources, in particular the lack of engineers with specific expertise. This is in line with the World Economic Forum's recent survey released in September 2013 **(Chart 4)** revealing that from foreign investors' perspective, Thailand's competitiveness has decreased considerably. When compared to Malaysia and Taiwan, Thailand's macroeconomic environment and market size are at a level where Thailand may remain competitive, reflecting that demand management policy in Thailand is not an obstacle to competitiveness. Apparently, the aspects that need to be improved upon must be addressed by supply management policies, which are crucial in enhancing the country's production capacity. These include labor market readiness, technological readiness, innovation development, quality of the education system as well as readiness in terms of infrastructure and public utilities.

Chart 3 Estimation of HDD and SSD delivery for PCs



Source: IHS isuppli

Chart 4 Readiness comparison table



Source: Global Competitiveness Index, World Economic Forum, 2013-2014

These changes will take time before any real impacts on the economy can be observed. Therefore, it is of utmost importance that these issues be addressed immediately, or else there is a chance that the gap between Thailand's production capacity and that of other countries in the region could widen further. This, eventually, will become a key obstacle to sustainable growth in the long-term.

Recent Economic Developments

2. Recent Economic Developments

Economies of the US, euro area and Japan were poised to expand gradually. The Chinese economy was likely to recover continuously across every economic sector. East Asian economies picked up, while ASEAN economies were likely to moderate on the back of softer domestic demand.

The Thai economy in 2013 Q3 was expected to expand compared to the same period of last year, similar to the previous quarter, thanks to the recovery in exports and strong growth in the service sector related to tourism. Nevertheless, domestic demand continued to moderate in line with softer private consumption as households spent more cautiously on the back of higher household debt burden, while support from fiscal stimulus declined. As a consequence, overall manufacturing production continued to contract.

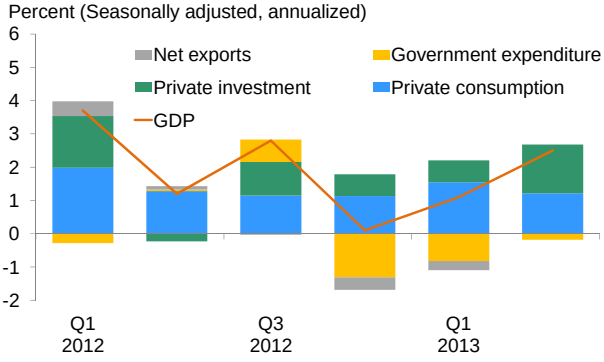
2.1 The global economy

Economies of the US, euro area and Japan were poised to grow at a gradual pace. The Chinese economy was likely to recover continuously across every economic sector. East Asian economies improved, while ASEAN economies were likely to moderate from softer domestic demand.

The US economy expanded gradually thanks to steady improvements in economic fundamentals, particularly in the housing sector which recovered more concretely. Meanwhile, uncertainties regarding US fiscal policy would remain a key risk.

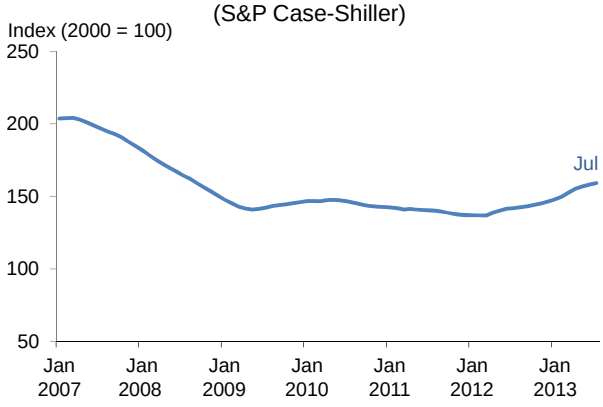
In 2013 Q2, the US economy expanded by 2.5 percent on a quarter-on-quarter, seasonally adjusted annualized basis (qoq saar) (Third estimate) **(Chart 2.1)**, accelerating from the previous quarter which grew by 1.1 percent. This was attributable to a pickup in domestic demand, especially from strong private consumption and investments in the housing sector.

Chart 2.1 Contribution to US economic growth
(Change from the previous quarter)



Source: Bureau of Economic Analysis

Chart 2.2 US Housing Price Index
(S&P Case-Shiller)



Source: Bloomberg

In the third quarter, the US economy would continue to expand from improving economic fundamentals, particularly in the housing sector where recovery was more concrete **(Chart 2.2)**. This would benefit households' financial position and help support consumption in future periods. Nevertheless, impacts from the sequestration, which came into effect in March, were expected to have a more notable effect on the US economy.

Monetary policy in the US remained accommodative. In the September 17-18, 2013 meeting, the FOMC voted to hold the policy rate at 0-0.25 percent per annum and maintained the size of asset purchases at a pace of 85 billion US dollars per month[1/] citing the following reasons for no tapering: (1) Economic data did not signify that the economy was as strong as the FOMC expected. (2) There were concerns that rapid tightening of financial conditions due to investors' anticipation of the Fed's tapering would slow the pace of economic improvement. And (3) higher fiscal uncertainty.

The MPC assessed that going forward, the US economy was likely to improve gradually, supported by continued improvements in economic fundamentals, despite reduced government spending which would be a key constraint on economic growth. Impacts from the partial government shutdown, which started on October 1, 2013, on the US economy would depend on the duration of the shutdown. However, according to historical data, the impact of the shutdown on the overall economy would not be substantial[2/] because government agencies that

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[1/] Divided into long-term treasury bonds and agency mortgage-backed securities of 45 and 40 billion US dollars per month, respectively.

[2/] The Bureau of Economic Analysis (BEA) and Congressional Budget Office (CBO) assessed that the 20 day government shutdown in 1995 Q4 reduced economic growth between 0.3 to 0.5 percent (qoq saar) in that quarter.

did not rely on mandatory spending would still be in operation, for example, Medicaid, Medicare and social security. Nonetheless, uncertainties regarding deliberations on the debt ceiling remained a risk factor that would render monitoring. In this connection, to compensate for the debt ceiling increase, US authorities could reduce the budget further, which could cause greater fiscal drag going forward.

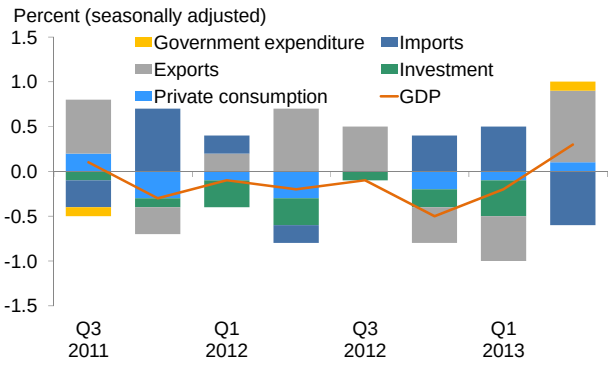
In 2013 Q2, euro area economies[3/] expanded by 0.3 percent on a quarter-on-quarter, seasonally adjusted basis, after contracting for six consecutive quarters. The expansion was mainly attributable to growth in exports and domestic demand **(Chart 2.3)**.

In 2013 Q3, euro area economies were expected to continue expanding from the previous quarter, as reflected by continuous improvements in the economic sentiment indicator of euro area economies, whereby the composite output PMI showed positive growth for the third consecutive month **(Chart 2.4).** This was in spite of contractions in manufacturing production and exports of 1.1 and 1.6 percent (mom sa) in July, respectively.

As for Germany, given a high possibility that Angela Merkel would be elected as Chancellor for another term as her party won the German federal election in September, Germany's policy towards Europe, which urged euro member countries to carry out structural reforms, should continue in the same direction as before.

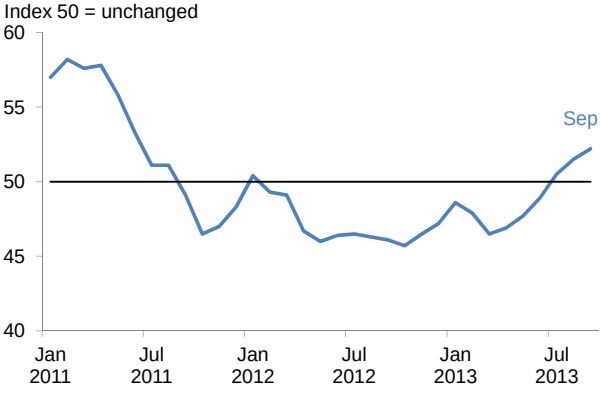
Chart 2.3 Contribution to Euro area's economic growth

(Change from previous quarter)



Source: Eurostat

Chart 2.4 Euro Area Purchasing Managers Index



Source: Bloomberg

[3/] Consists of 17 countries that have adopted the euro as their common currency. The German, French, Italian and Spanish economies accounted for 28, 21, 17 and 11 percent of the euro area economies in 2012, respectively, while Greece, Ireland and Portugal together accounted for 6 percent.

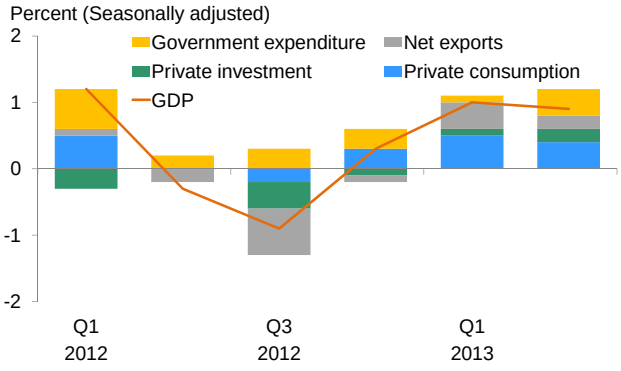
Going forward, the MPC evaluated that euro area economies would expand gradually, thanks to (1) a revival in business sentiment, (2) expansion in consumption of major countries, in particular Germany, on the back of strong labor market conditions and (3) lower fiscal drag. Nevertheless, the economic recovery would be at a slow pace due to deleveraging in both the private and public sectors, also most countries would still be faced with structural problems which would take time to address.

The Japanese economy continued to recover, thanks to Prime Minister Shinzo Abe's economic stimulus measures (Abenomics). The recovery was supported by a pickup in public investment and exports following economic recovery in Japan's main trading partners, while private consumption showed signs of improvement.

In 2013 Q2, the Japanese economy continued to recover from the previous quarter **(Chart 2.5)**, mainly supported by private consumption and public investments under Abenomics' stimulus measures to repair and reconstruct buildings damaged by the 2011 earthquake and recondition obsolete infrastructures. By product, these stimulus measures also caused the yen to weaken which helped boost Japan's exports in the previous periods considerably. Meanwhile, manufacturing production was expected to recover gradually, as reflected by the Manufacturing Production Index, which on average increased from the previous quarter.

The Japanese economy should continue to recover in 2013 Q3. Nonetheless, growth could moderate from the first half of the year during which the economy picked up rather significantly. The slower growth in the latter half of the year could be attributable to uncertainties about the imminent consumption tax hike and about additional stimulus

Chart 2.5 Contribution to Japan's economic growth
(Change from the previous quarter)



Source: Cabinet Office of Japan

measures to mitigate impacts from the tax hike on the economy.

Looking ahead, the MPC appraised that the Japanese economy would continue to expand, supported mainly by private consumption, public stimulus spending, private investment and exports, which were expected to pick up in line with the economic recovery of major trading partners. However, risks to Japan's economic growth going forward would hinge on impacts from the consumption tax hike in April 2014. If supporting measures were inadequate and global economic recovery was not concrete enough, Japan's export sector could be affected in the periods to come.

The Chinese economy was expected to recover continuously. East Asian economies picked up, while ASEAN economies were likely to moderate from weaker domestic demand momentum.

In 2013 Q2, the Chinese economy grew by 7.5 percent, slowing down from 7.7 percent in the first quarter, due mainly to subdued exports. Economic activities improved across the board in 2013 Q3 **(Table 2.1)**. The continuous pickup in exports, in tandem with the global economic recovery, led manufacturing production to accelerate from the previous quarter. Meanwhile, investment, an important driver of economic growth, also picked up its pace thanks to accelerated infrastructure investments by the public sector and an acceleration in investments of the manufacturing sector after having moderated for many successive months.

Looking ahead, the MPC appraised that in the latter half of 2013, the Chinese economy would improve from the first half of the year. This was supported by a pickup in domestic demand, especially investments in infrastructure and the manufacturing sector which recovered in line with exports as well as the pickup in producer confidence

and continued improvements in business performance. Meanwhile, exports were expected to improve gradually in line with economic recovery of main trading partners.

Table 2.1 China's economic indicators (2013)

Percentage change from the previous year (%△YoY)

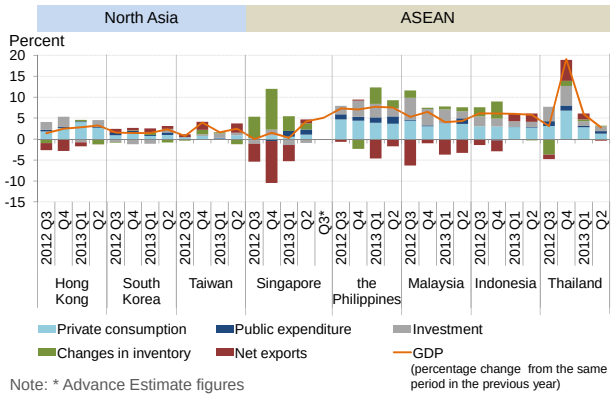
	Q1	Q2	Jul	Aug		Sep	
				Actual	Survey	Actual	Survey
Fixed asset investment*	20.9	20.1	20.1	20.3	20.2	n.a.	n.a.
Retail sales	12.7	13.1	13.2	13.4	13.3	n.a.	n.a.
Industrial production	9.5	9.1	9.7	10.4	9.9	n.a.	n.a.
Exports	18.3	3.7	5.1	7.1	5.5	-0.3	5.5
Inflation	2.4	2.4	2.7	2.6	2.6	3.1	2.8

Note: *Year to date

Source: CEIC and Bloomberg

Chart 2.6 Contribution to Asia's economic growth

(Change from the same period in the previous year)



Note: * Advance Estimate figures

Source: CEIC

In 2013 Q2, growth varied among countries in the Asian region **(Chart 2.6)**. Growth of East Asian economies accelerated from the first quarter, driven by continued recovery in net exports and a pickup in domestic demand thanks to public stimulus measures. Meanwhile, ASEAN economies moderated in line with softer domestic demand and slow export recovery. In 2013 Q3, economic activities of North Asian countries should continue to expand on the back of strong domestic demand which had gained momentum, as well as exports following recovery of the global economy. With regard to ASEAN nations in the third quarter, economic activities slowed down in tandem with investment and consumption, which was partly due to public policies in some countries that aimed to restore economic stability. In particular, Indonesia and Malaysia which reduced subsidies on fuel prices. Meanwhile, exports were expected to recover slowly in line with economic recovery in G3 countries and China. Nonetheless, countries with a high share of

commodity exports would remain weak due to low commodity prices.

Going forward, the MPC appraised that regional economic growth would remain stable despite continuous improvements in East Asian economies following recovery in exports, particularly in electronics. This was because ASEAN economies were expected to slow down in tandem with softening domestic demand owing partly to public policies implemented by some countries which aimed to maintain monetary, fiscal and balance of payment stability. Examples include curbing subsidies on fuel prices in Malaysia and Indonesia, and delaying infrastructure investments that are high in machinery and equipment imports in Malaysia. Moreover, ASEAN exports were likely to recover slowly in line with global economic recovery and persistently low commodity prices.

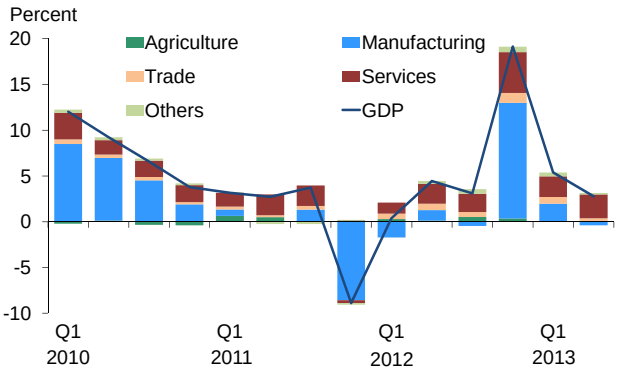
2.2 The domestic economy

In 2013 Q2, the Thai economy expanded at a slower rate compared to the same period last year due to softer demand, both domestic and foreign, which led to contractions in manufacturing production. Nevertheless, the service sector expanded strongly thanks to continued increases in the number of foreign tourists.

Economic conditions in 2013 Q2

In 2013 Q2, the Thai economy grew year-on year by 2.8 percent **(Chart 2.7)**, slowing down from 5.4 percent in the previous quarter. Softer domestic demand led activities in the trade and construction sectors to also slow down. At the same time, foreign demand had not yet fully recovered, resulting in contractions in manufacturing production. Nonetheless,

Chart 2.7 Contribution to GDP growth
(compared to the same period last year)



Source: Office of the National Economic and Social Development Board

the service sector relating to tourism continued to expand strongly from the previous quarter.

Manufacturing production contracted year-on-year by 1.0 percent due to the fact that foreign demand had not yet fully recovered and thus could not offset the decline in production caused by weak domestic demand. Moreover, some industries were further affected by extraordinary factors which led production to continue to decline from the previous quarter. Particularly, production of hard disk drives, which were a main component in personal computers, steadily declined partly due to changing consumers' preference from personal computers to tablets and smartphones. Meanwhile, production of frozen food also decreased because of the problem of shrimp supply shortage which had not yet subsided. Petroleum production also fell due to temporary closures of refineries for maintenance. Nevertheless, automobile production continued to expand, although slowing down somewhat as deliveries of cars under the first-car tax rebate scheme were nearly filled, while new orders declined.

The **service sector** expanded year-on-year by 7.5 percent, accelerating slightly from the previous quarter. The acceleration was driven by continued growth in tourism, which led to a strong expansion in activities in the hotel and restaurant sector. Nonetheless, activities in the trade and transportation sectors moderated in line with domestic demand, consistent with lower manufacturing production. Activities in the construction sector also slowed down due mainly to labor shortage problems that caused delays in private sector construction. Meanwhile, construction of the central and local governments also contracted, as reflected by a decline in disbursements of public investment in construction.

Agricultural production overall was similar to the same period of last year. Rubber and palm oil outputs continued to expand strongly following expansion of the planting areas many years ago. In contrast, rice output declined considerably, due to unfavorable weather conditions and a high base effect from an increase in rice cultivation in 2012 to compensate for damages made by the 2011 floods. In addition, fishery production continued to contract as a result of a substantial decline in shrimp output due to the continued outbreak of the early mortality syndrome (EMS).

Demand in 2013 Q2 expanded at a slower rate than the previous quarter, owing to the slow recovery in private consumption and investment, public investment and merchandise exports, in line with fragile foreign demand and consistent with the decline in manufacturing production.

Private consumption expanded year-on-year by 2.4 percent **(Table 2.2)**, decelerating from the previous quarter due to lower demand for durable goods, especially automobiles, as households had frontloaded their car purchases to take advantage of the first-car tax rebate scheme, as well as higher debt burden which led households to spend more cautiously. Nevertheless, consumption in non-durable goods and services increased. **Private investment** expanded by 1.9 percent year-on-year, slowing from the previous quarter. The slowdown was on account of a deceleration in machinery and equipment investments after having increased substantially last year to replace and repair flood-related damages. Furthermore, softening domestic and foreign demand led some businesses to postpone their investment plans. Investment in construction also moderated on the back of a slowdown in factory and commercial building construction.

Table 2.2 GDP growth rate

Change from the same period in the previous year (percent)	2012					2013	
	Year	Q1	Q2	Q3	Q4	Q1	Q2
GDP	6.5	0.4	4.4	3.1	19.1	5.4	2.8
Domestic demand[1/]	8.4	3.1	6.8	9.0	15.0	4.6	3.4
Private consumption	6.7	2.9	5.3	6.0	12.4	4.4	2.4
Private investment	14.4	9.2	11.8	16.2	20.9	2.9	1.9
Government consumption	7.5	-0.2	7.4	10.0	12.5	2.9	5.8
Public investment	8.9	-9.6	4.0	13.2	31.1	18.8	14.8
Exports of goods and services	3.1	-3.2	1.1	-2.8	19.6	8.3	2.8
Imports of goods and services	6.2	4.3	8.6	-1.8	15.0	8.1	4.1

Note: [1/] Domestic demand excluding changes in stocks

Source: National Economic and Social Development Board and calculations by Bank of Thailand

Exports of goods and services expanded by 2.8 percent, slowing down from the previous quarter in line with weakening foreign demand. The slowdown was due to the decline in exports of manufacturing products, particularly in electronics and electrical appliances, as well as in agricultural products, especially rubber. Exports of fishery products decreased due to the disease outbreak in shrimps. Rice exports fell following deteriorating price competitiveness, while exports of petroleum products contracted due to temporary closures of refineries for maintenance. Nevertheless, **exports of services** expanded in line with continuous increases in the number of foreign tourists, particularly from China, Malaysia and Russia. However, freight and transport receipts declined in tandem with lower international trade volume.

Sluggish domestic demand and merchandise exports caused **imports of goods and services** to slow down from the previous quarter, with a growth rate of 4.1 percent. The slowdown was attributed to a deceleration in imports of consumer goods, capital goods, as well as raw materials and intermediate goods (exclude crude oil). Nevertheless, imports of crude oil increased in line with domestic needs.

Meanwhile, imports of services accelerated from the previous quarter, owing to an increase in travel expenditures consistent with the rising number of Thais travelling abroad. However, freight payments fell in line with international trade volume.

Fiscal spending picked up pace owing to an increase in expenditures on employee compensation and purchases of goods and services. Public investments moderated due to delays in disbursements by local governments and disbursements under the Emergency Decree on Water Management. Nevertheless, disbursements on investments by state-owned enterprises were at normal levels.

The economic outlook for 2013 Q3[4/]

In 2013 Q3, the Thai economy was likely to expand from the same period last year, supported by exports which had started to recover. Meanwhile, domestic demand would continue to soften in line with private consumption and public spending. As a consequence, overall manufacturing production would continue to contract from the previous quarter, despite some signs of improvement in export-oriented production. The unimproved outlook for manufacturing production coupled with lower public stimulus led to the expectation that private investment

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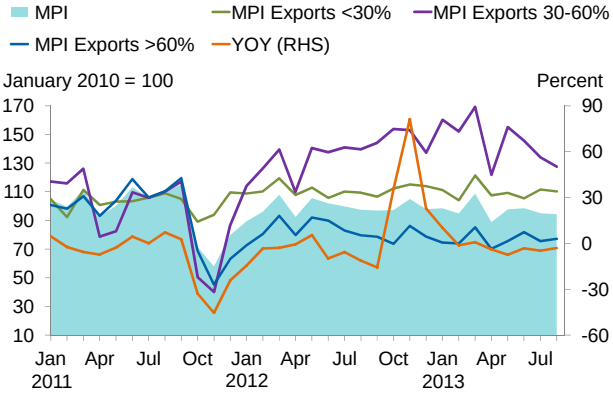
[4/] Economic indicators used in assessing the outlook for 2013 Q2 were produced by the Bank of Thailand, except data on the Manufacturing Production Index and capacity utilization rate, which were provided by the Office of Industrial Economics. The number of tourists and occupancy rate were, in part, compiled by the Tourism Authority of Thailand. Data on the labor market were obtained by the National Statistical Office. The government expenditure data were provided by the Comptroller General's Department, and compiled by the Fiscal Policy Office, Ministry of Finance. The economic outlook was obtained from the Economic/Business Information Exchange Program between the Bank of Thailand and the business sector.

would expand at a low rate similar to that in the previous quarter, sustained by earlier investment plans. Nonetheless, the tourism sector continued to expand favorably. As a result, activities in the relating fields of the service sector were also expected to expand strongly.

Manufacturing production in the third quarter was expected to contract from the same period last year, but to a lesser extent than the previous quarter, consistent with the capacity utilization rate **(Chart 2.8).** The lower contraction in manufacturing production stemmed from a more concrete recovery in foreign demand, which was likely to shore up export-oriented production. Hard disk drive production was likely to remain stable in this quarter, despite lower global demand due to consumers' change in preference. Meanwhile, production of processed and frozen foods should contract at a lower rate thanks to gradual subsiding of the shrimp supply shortage problem, as well as improvements in chicken production as a major producer, who previously had financial liquidity problems, had started to resume production. Production of apparels increased following a return in orders from key trading partners, while petroleum production was likely to increase with higher foreign demand due to closures of refineries for maintenance in some countries.

However, because domestic demand remained weak, domestic-oriented production was likely to soften, in particular automobile production which contracted on the back of a substantial decline in new orders while back orders had already been filled as manufacturers had delivered most of the cars under the first-car tax rebate scheme. Moreover, production of electrical appliances also contracted on account of consumers becoming more cautious in their spending, together with a high base effect following

Chart 2.8 Manufacturing Production Index (MPI)



Source: Office of Industrial Economics, Ministry of Industry

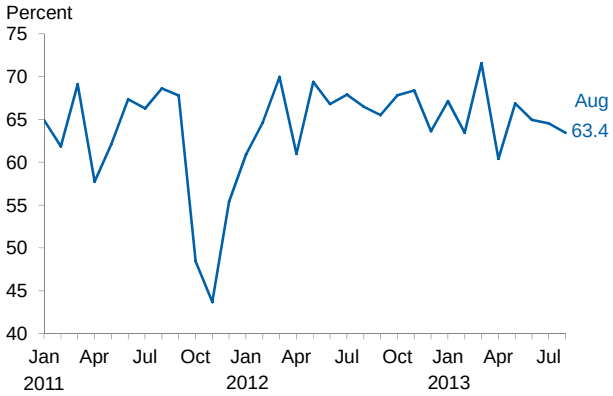
accelerated production in the previous year to compensate for the production setbacks caused by the flood during the end of 2011 **(Chart 2.9)**.

The **service sector** in the third quarter was expected to expand from the same period last year and would provide a key growth driver of GDP this quarter on the production side. Continued expansion in tourism was reflected by the number of tourists, particularly from China, Malaysia and Russia, as well as from Muslim countries, in July and August which continued to increase **(Chart 2.10)**. As a consequence, relating services also expanded robustly, especially in the hotel and restaurant sector. The expansion in tourism also helped support activities in the trade and transport sectors to continue to expand, especially during times when manufacturing and agricultural production were still contracting. Nevertheless, activities in the real estate and construction sectors were likely to soften slightly, in line with a slowdown in public investment in construction which encountered both contractor and labor shortage problems.

Agricultural production in the third quarter was likely to contract from the same period last year, due mainly to a decline in rice output as a result of unfavorable weather conditions, coupled with a high base effect from an increase in last year's rice cultivation to compensate for those damaged by the 2011 floods. Nevertheless, rubber and palm oil outputs were expected to increase following expansions in the planting areas in the past few years.

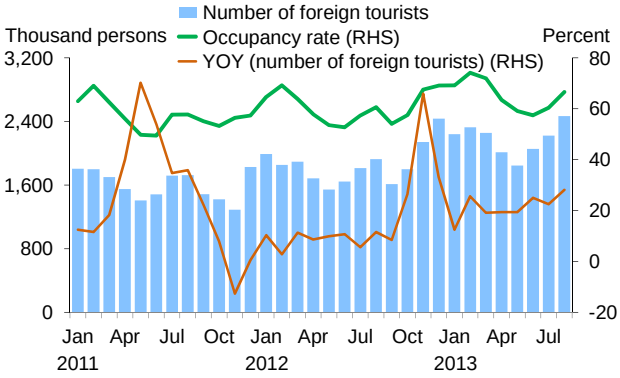
Although overall manufacturing production had not yet shown clear signs of improvement, economic activities in some sectors picked up continually. Moreover, due to tight labor market conditions during these past few years, labor demand remained high. As a result, the unemployment rate in

Chart 2.9 Capacity utilization rate



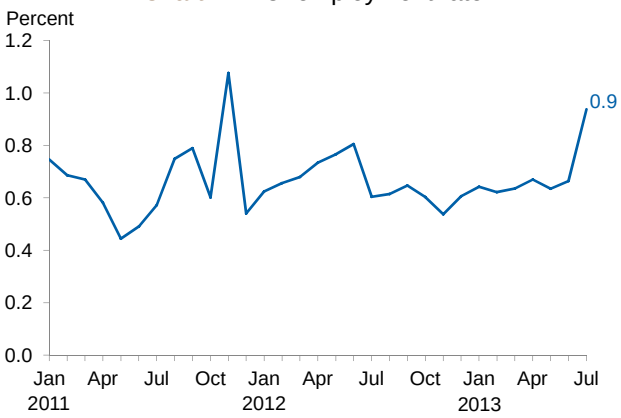
Source: Office of Industrial Economics, Ministry of Industry

Chart 2.10 Number of foreign tourists and hotel occupancy rate



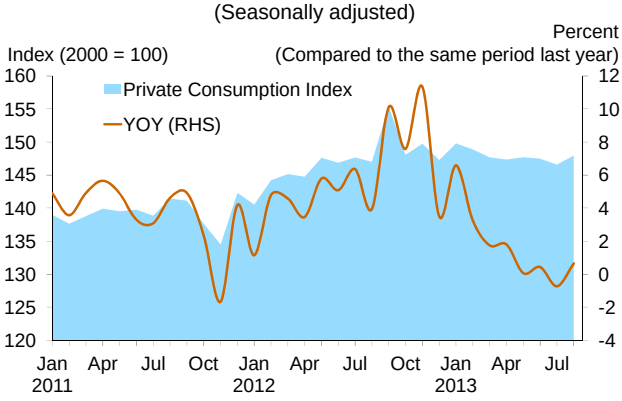
Source: Department of Tourism and Bank of Thailand

Chart 2.11 Unemployment rate



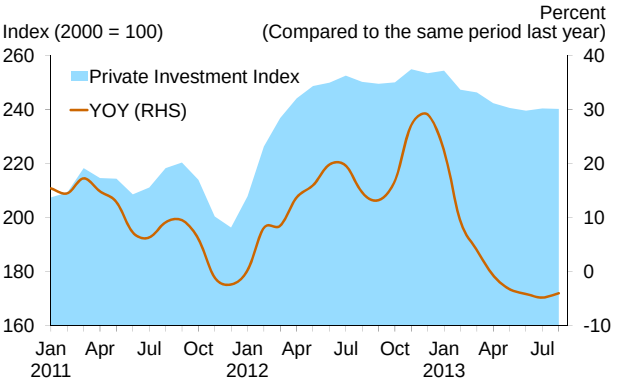
Source: National Statistical Office

Chart 2.12 Private Consumption Index (PCI)
(Seasonally adjusted)



Source: Bank of Thailand

Chart 2.13 Private Investment Index
(Seasonally adjusted, 3-month moving average)



Source: Bank of Thailand

the third quarter was expected to remain at a low level, despite a slight increase in July **(Chart 2.11)** which had not flagged a concern. Part of the rise in unemployment was due to an increase in new entry to the labor force by people who had never worked before. The rise in unemployment against the backdrop of strong labor demand reflected a mismatch between the skills and qualifications possessed by existing labors and those required by the market.

On the demand side, in 2013 Q3, domestic spending was expected to expand at a lower rate, in line with private consumption as well as public spending which provided less stimulus to the economy. Private investment was expected to expand close to the previous quarter's level. Meanwhile, exports showed signs of a pickup, supported by recovery in foreign demand.

Private consumption was expected to moderate compared to the same period last year due to a decline in durable consumption from the previous year **(Chart 2.12)**. The decline in durable consumption followed a slowdown in automobile purchases after having accelerated in the previous periods, coupled with more cautious spending by households given high debt burden, while financial institutions also tightened standards on household loans. Nonetheless, non-durable consumption continued to expand, supported by favorable employment conditions and household income, both farm and non-farm, which would be conducive to spending.

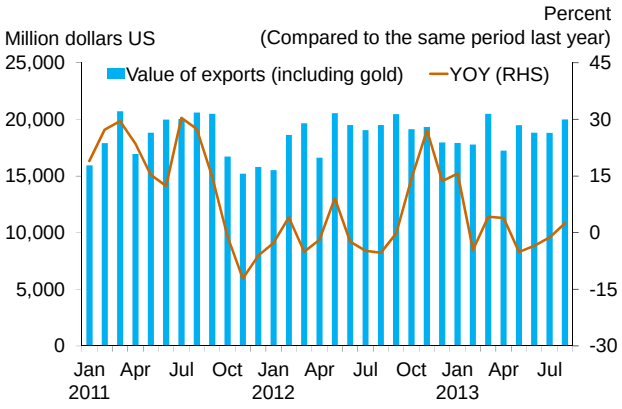
Private investment was expected to grow at a rate similar to the previous quarter, in line with an expansion in construction sector investment, especially commercial construction, both within and outside the municipality of major provinces **(Chart 2.13)**. This was in part to accommodate higher investment demand

following a closer regional economic integration under the AEC. Investments in machinery and equipment also increased following the private sector's needs to invest for manual labor replacement in response to labor shortages and to enhance productivity in accordance with their original plans. This was consistent with opinions expressed by entrepreneurs under the Business Liaison Program between the Bank of Thailand and the business sector, and was reflected by the high level of investment promotion certificates issued by the Board of Investment (BOI). Nonetheless, some entrepreneurs might delay their investments in order to wait to assess the economic situation.

Exports of goods were expected to expand from the same period last year, thanks to recovery in foreign demand **(Chart 2.14)**. Expansions would be observed in the exports of major manufacturing products, including automobiles, integrated circuits and parts, petroleum products and apparels. Meanwhile, exports of fishery and agricultural products were likely to moderate due to shrimp supply shortages for frozen seafood production and a decline in rice exports following deteriorating price competitiveness. Nevertheless, **exports of services** were expected to expand, prompted by an increase in the number of foreign tourists from almost all regions, in particular those from China, Malaysia and Russia.

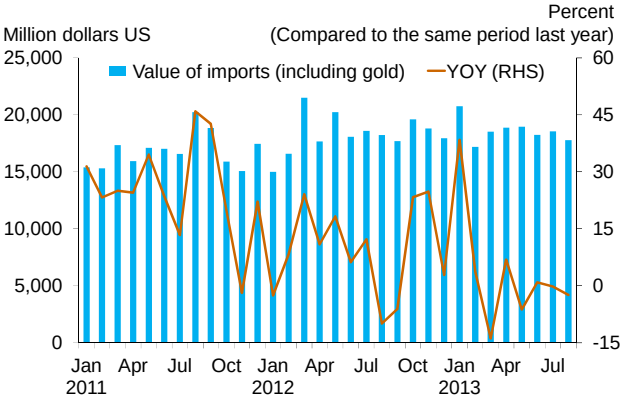
Imports of goods were likely to expand from the same period last year **(Chart 2.15)**, in particular imports of capital goods, raw materials and intermediate goods, consistent with expansions in private investment and merchandise exports. However, imports of consumer goods, especially durable goods, moderated in line with private spending. Meanwhile, **imports of services** were expected to expand in line with an increase in the

Chart 2.14 Export value



Source: Bank of Thailand

Chart 2.15 Value of imports



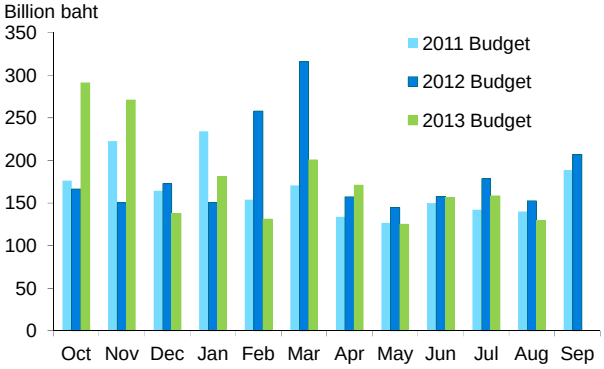
Source: Bank of Thailand

number of Thais travelling abroad, and freight payments following an expected increase in import volume.

Public stimulus would continue, supported by expenditures on wages and salaries, and purchases of goods and services, as well as strong investment growth by state-owned enterprises. Nevertheless, when combined with relatively low central budget disbursements, as well as capital budget disbursement delays in some projects due to contractor procurement and construction worker shortage problems, and disbursement delays in the water management project following the Court's ruling that a public hearing must be sought on the projects, overall fiscal stimulus softened compared to the same period of last year **(Chart 2.16)**.

In summary, the Thai economy in 2013 Q3 would expand in line with exports of goods and services, while domestic spending, in particular private consumption and public spending, softened.

Chart 2.16 Disbursement of government budget



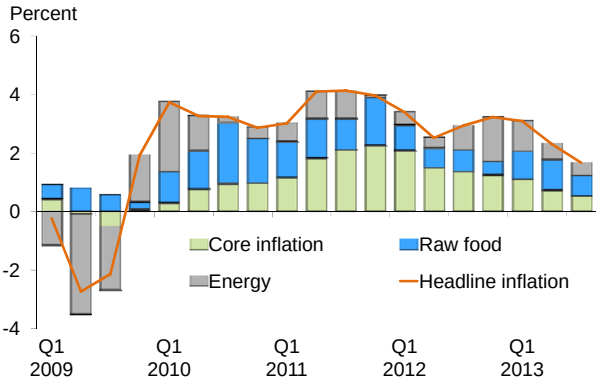
Note: Excluding principal repayments and replenishments of the treasury reserve
Source: Comptroller General's Department, Ministry of Finance

2.3 Costs and prices

Inflation

Headline inflation in 2013 Q3 stood at 1.67 percent, down from 2.32 percent in the previous quarter **(Chart 2.17)** due to softer prices across the board. Energy prices in 2013 Q3 expanded year-on-year by 3.67 percent, decelerating from 4.60 percent observed in the previous quarter. The slowdown was prompted by a high base effect following a substantial increase in the Ft rate in the same period of last year. Nevertheless, compared to the previous quarter, energy prices continued to increase **(Table 2.3)**, owing to higher domestic retail oil prices following world crude oil prices which rose from tight

Chart 2.17 Contribution to headline inflation



Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

oil supply problems in Syria, coupled with gradual hikes in the household LPG price of 50 satang per month, and an increase in the Ft rate of 7 satang per unit in September.

Prices of raw food rose year-on-year by 4.48 percent, down from 6.60 percent in the previous quarter, due to a decline in prices of vegetables and fruits following higher outputs thanks to favorable weather conditions.

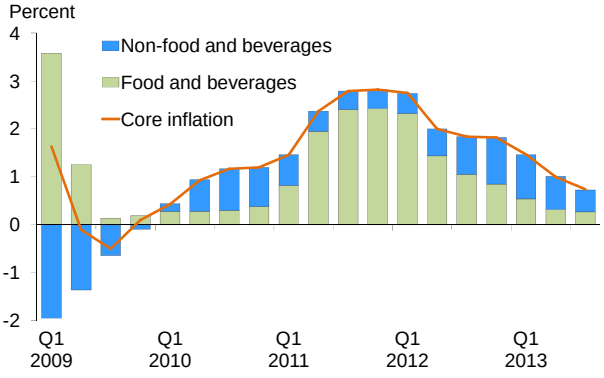
Table 2.3 Quarterly inflation

Unit: Percent	2012	2012		2013		
		Q3	Q4	Q1	Q2	Q3
Percentage change from previous year (%Δyoy)						
- Headline Consumer Price Index	3.02	2.94	3.23	3.09	2.32	1.67
• Core Consumer Price Index	2.09	1.84	1.82	1.47	1.00	0.74
• Raw food	4.40	4.80	2.92	6.08	6.60	4.48
• Energy	7.09	7.54	14.79	8.76	4.60	3.67
Percentage change from previous quarter (%Δqoq)						
- Headline Consumer Price Index	-	1.0	0.4	0.5	0.5	0.3
• Core Consumer Price Index	-	0.4	0.3	0.2	0.1	0.2
• Raw food	-	2.2	0.3	0.4	3.6	0.1
• Energy	-	2.6	1.3	2.1	-1.5	1.7
Percentage change from previous quarter (%Δqoq_sa)						
- Headline Consumer Price Index	-	1.0	1.0	0.4	-0.1	0.4
• Core Consumer Price Index	-	0.5	0.5	0.2	-0.1	0.2
• Raw food	-	2.2	1.2	1.6	1.5	0.1
• Energy	-	3.6	4.6	-1.1	-2.0	2.4

Source: Trade and Economic Index Bureau, Ministry of Commerce, and seasonal adjusted quarter-on-quarter percentage change calculations by Bank of Thailand

Core inflation in 2013 Q3 stood at 0.74 percent, slowing down from 1.00 percent in the previous quarter **(Chart 2.18),** owing mainly to low production costs, as well as sluggish domestic demand which limited upward price adjustments of goods and services. In particular, (1) price of prepared foods declined in line with raw material costs. Although household LPG price gradually increased in September, cost pass-through was limited; (2) price of the housing and furniture category declined in tandem with lower prices of electrical appliances and household appliances due to weak

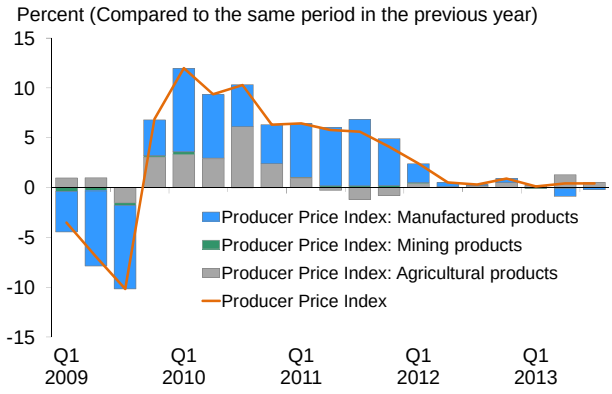
Chart 2.18 Contribution to core inflation



Source: Trade and Economic Index Bureau, Ministry of Commerce, and calculations by Bank of Thailand

demand for these products, consistent with continual contractions in durable goods consumption; and (3) price of transportation stabilized in line with stable transportation fares given that energy costs did not change significantly as authorities continued to peg domestic retail diesel prices and subsidize public transportation fares. Moreover, the slowdown in core inflation was also due to a high base effect in the price of the tobacco and alcoholic beverages category which rose significantly in the same period of last year following an increase in excise tax on alcohol and tobacco **(Table 2.3)**.

Chart 2.19 Contribution to Producer Price Index



Source: Trade and Economic Index Bureau, Ministry of Commerce and calculations by Bank of Thailand

Production cost conditions

In 2013 Q3, the Producer Price Index expanded by 0.4 percent, stabilizing at a low level, similar to the previous quarter, reflecting that overall production costs continued to remain low **(Chart 2.19).** Price of agricultural products softened, especially that of vegetables and fruits, which due an increase in output. Meanwhile, the price of manufactured products accelerated, owing mainly to an increase in the price of petroleum products following world crude oil prices which increased from tight oil supply problems due to the unrest in Syria and higher demand following global economic recovery. Moreover, the weakening of the baht from previous periods also led to higher costs of imported oil.

Inflationary pressure in the periods ahead

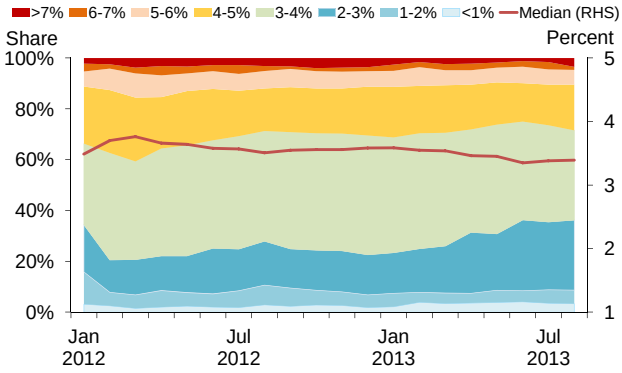
Inflationary pressure, overall, would remain low. Although cost pressure was poised to increase gradually from the current level, pass-through of costs to prices would remain limited, owing to low domestic demand pressure and stable inflation expectations.

(1) Cost pressure was likely to increase steadily from the current level, following gradual increases in the household LPG price which started to take effect in September 2013. Overall, the LPG price would increase from the current price level by 31 percent (from today's price of 18.13 baht per kilogram to the target price of 24.82 baht per kilogram). Meanwhile, prices of oil and commodities in the global market were likely to remain stable at the current level.

(2) Demand pressure would remain low, owing mainly to weakening private consumption and delays in public expenditure disbursements. Nonetheless, demand pressure was expected to increase slightly from the current level at the start of 2014 following gradual improvements in domestic demand, and signs of improvement in exports thanks to foreign demand recovery.

(3) Inflation expectations remained stable, as reflected by the 12-month-ahead inflation expectations in August 2013 which remained close to that of the previous month at 3.39 percent **(Chart 2.20).**

Chart 2.20 12-month ahead inflation expectation
(August 2013)



Source: Bank of Thailand's Business Sentiment Survey

Monetary and Financial Stability

3. Monetary and Financial Stability

Thailand's overall economic and financial stability continued to be well maintained. Money market interest rates remained stable in line with the policy interest rate. Meanwhile, financial health of financial institutions remained strong. Overall stability in the non-financial institution sector was intact, with household income and employment remaining high. Concerns over an eventual tapering of QE in the US caused financial markets, both the foreign exchange and equity markets, to become more volatile during 2013 Q3. Moreover, the economic slowdown started to have an impact on corporate sector profitability.

Risks that needed to be monitored going forwad included 1) uncertainties in the global economy which could lead to sudden capital outflow and financial market volatility; and 2) impacts of the domestic economic slowdown on household income and corporate profitability, which could in turn worsen future debt servicing ability of the private sector and credit quality of financial institutions.

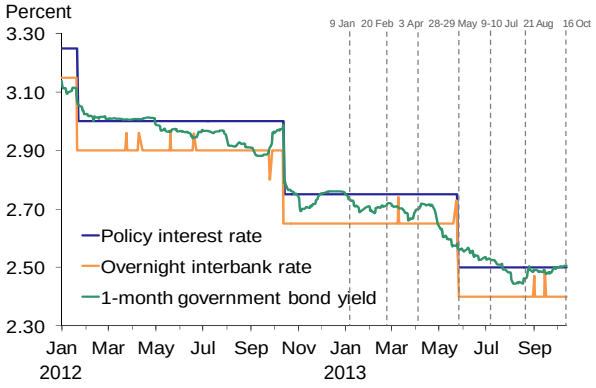
3.1 Financial markets

Money market rates remained stable in line with the policy interest rate. Meanwhile, government bond yields were somewhat volatile owing mainly to investors' demand for bonds, expectation on the Fed's QE tapering and bond supply factors.

Money and bond markets

In 2013 Q3, short-term money market rates remained stable and close to the policy interest rate, in line with the MPC's decision to hold the policy interest rate at 2.50 percent per annum at the July 9-10 and August 21, 2013 meetings. The overnight interbank lending rate and the one-month government bond yield stood at 2.40 and 2.50 percent per annum at the end of the third quarter, respectively. Subsequently, at the October 16, 2013 meeting, the MPC continued

Chart 3.1 Money market short-term interest rates

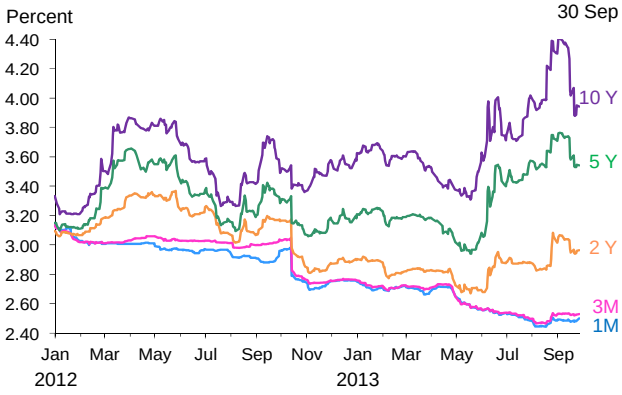


Sources: Bank of Thailand and the Thai Bond Market Association (ThaiBMA)

to hold the policy interest rate at 2.50 percent per annum, leaving short-term interest rates on October 16, 2013 to remain close to the level at end 2013 Q3 **(Chart 3.1)**.

Short-term government bond yields in 2013 Q3 edged lower in line with an increase in demand by both domestic and foreign investors, while waiting for more clarity on the Fed's QE tapering. Meanwhile, medium to long-term government bond yields were somewhat volatile, trending upwards in July to mid-September in line with US government bond yields which increased after US GDP figures came out better than expected, leading investors to expect higher possibility that the Fed would begin QE tapering in September 2013. During the rest of the quarter, however, medium- to long-term government bond yields declined following the Fed's decision on the September 17-18 meeting to maintain QE measures at the current level, a move unexpected by the market. A final factor behind the movements of medium to long-term bond yields was the Ministry of Finance's auction announcement of government bonds in 2013 Q4 with smaller-than-expected amount of bonds, which resulted in a return of investors' interest in medium to long-term government bonds **(Chart 3.2)**.

Chart 3.2 Government bond yields



Sources: The Thai Bond Market Association (ThaiBMA)

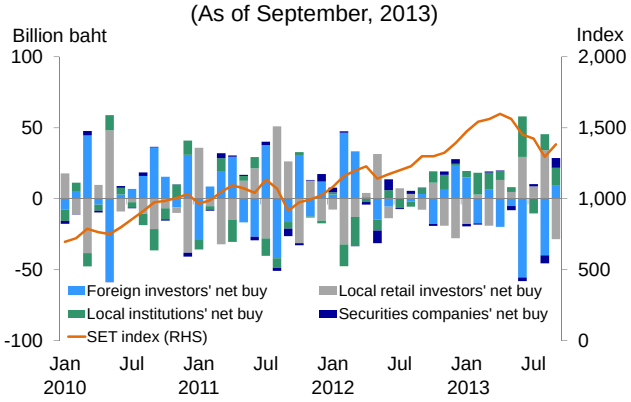
Equity market

In 2013 Q3, the Stock Exchange of Thailand (SET) index remained highly volatile. Since the start of the quarter, the SET index had been trending downwards due to concerns over the Fed's QE tapering. However, the Fed decided to maintain its QE measures at the September 18, 2013 meeting due to unclear signs regarding US' economic strength. Moreover, concerns over tight monetary conditions and fiscal risks in the US led foreign investors to return to the Asian region, including Thailand, causing a slight increase in the SET index.

Nonetheless, after the Fed came out to signal that it might begin QE tapering at the October meeting, the SET index began to resume its downward path. In this regard, accumulated net sales by foreign investors in July to September of this year totaled 30 billion baht **(Chart 3.3)**.

A key risk to be monitored in the periods ahead included the economic recovery in major countries, particularly in the US which could lead the Fed to taper QE measures in the future, causing sudden capital outflows from emerging market economies, which could in turn lead to an increase in capital market volatility.

Chart 3.3 The Stock Exchange of Thailand index
(As of September, 2013)

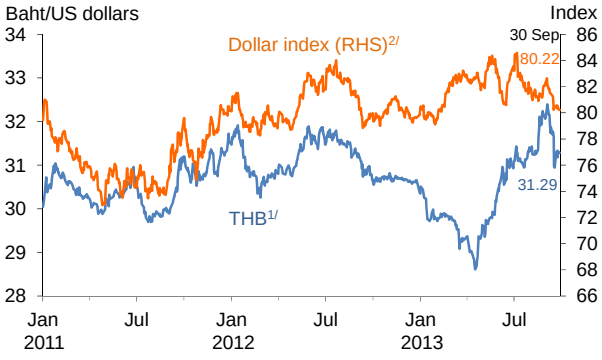


Source: The Stock Exchange of Thailand

Foreign exchange market

At the end of 2013 Q3, the Thai baht stood at 31.29 baht per US dollar, depreciating by 0.85 percent from the end of the previous quarter (Chart 3.4). During the first half of the quarter, the Thai baht remained relatively stable compared to the previous quarter where a persistent appreciation was noted most of the quarter. Nonetheless, during the latter half of the quarter, the **Thai baht became rather volatile and depreciated strongly during mid-August to early September**. The Thai baht depreciated to the weakest level in three years to close at 32.39 baht per US dollar on September 6, 2013, due to disappointing Thai economic figures in 2013 Q2, weaker regional economic stability especially in India and Indonesia, and the market's expectation that the Fed would taper off QE measures in September following the release of FOMC minutes on August 21, 2013. **After that, the Thai baht resumed its appreciating trend till the end of the quarter,** owing to lower-than-expected US economic figures, diminished concerns regarding the unrest situation in Syria, and most importantly, the Fed's decision to maintain QE measures at the FOMC meeting on September 17-18, 2013, which

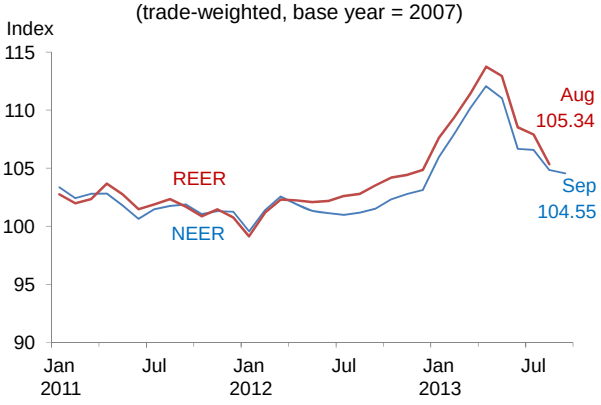
Chart 3.4 Exchange rate
and trade-weighted dollar index



Sources: 1/ Bank of Thailand
2/ Bloomberg

surprised the market and led to a return of capital flows into the region including Thailand. Consequently, at the end of the quarter the Thai baht appreciated by 3.41 percent from the quarter's lowest level. Yet, overall, the Thai baht averaged at 31.48 baht per US dollar in 2013 Q3, depreciating by 5.28 percent from last quarter's average.

Chart 3.5 NEER and REER
(trade-weighted, base year = 2007)



Source: Bank of Thailand

The **Nominal Effective Exchange Rate (NEER)** averaged at 105.32 in 2013 Q3, depreciating by 4.18 percent from the previous quarter's average. The depreciation of the NEER was caused by the weakening of the Thai baht against trading partners' currencies, especially major currencies such as the US dollar, the euro, the Japanese yen and the Chinese yuan which appreciated in line with their stronger economic outlook. Meanwhile, **the Real Effective Exchange Rate (REER)** averaged[1/] at 106.62, depreciating by 4.58 percent from the previous quarter's average level **(Chart 3.5)**.

3.2 Financial institutions

In 2013 Q3, deposit rates on both normal time deposits and special deposit products edged up slightly from the previous quarter, partly due to high competition for deposits between commercial banks and SFIs to support continued growth in private credits. Meanwhile, private credit and deposit growth of other depository corporations eased slightly.

[1/] Average REER during July and August 2013

Interest rates, credits and deposits

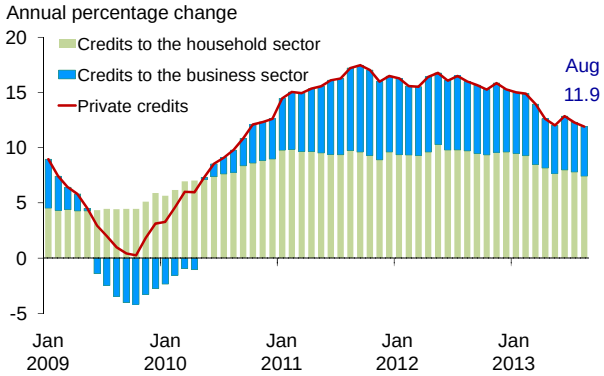
Large commercial banks'[2/] deposit rates in 2013 Q3 edged up marginally from the previous quarter, whereby at the end of the quarter, interest rates on the 12-month deposits of the four largest commercial banks stood at 2.45 percent per annum, increasing from 2.40 percent at the end of the last quarter due to an upward adjustment of interest rates by some commercial banks for large depositors.

In addition, many commercial banks and SFIs such as the Government Savings Bank, the Government Housing Bank, and Bank for Agriculture and Agricultural Cooperatives, became more aggressive in terms of competing for deposits in this quarter, partly to support continued growth in private credits. This observation was reflected by increases in interest rates on existing special deposit products together with launches of new special deposit products which paid higher interest rates than those of normal time deposits.

Meanwhile, the average MLR of the four largest commercial banks remained unchanged from the previous quarter, standing at 7.00 percent per annum.

Private credits at end-August 2013 grew 11.9 percent from the same period last year, decelerating from 12.9 percent in the previous quarter **(Chart 3.6)**. The slowdown in private credits was attributed to both household and corporate loans. The slowdown in consumer loans was due in part to an increase in household debt burden, while corporate loans slowed down in line with postponed private investments following weakening economic conditions. Furthermore, the results from the Senior Loan Officer Survey at

Chart 3.6 Other Depository Corporations' private credits



Source: Bank of Thailand

[2/] Bangkok Bank, Krungthai Bank, Kasikorn Bank and Siam Commercial Bank

end-September 2013 revealed that demand for private credits was set to continue to increase going forward, both in corporate and household loans. However, financial institutions became more cautious in loan approval, especially in auto leasing and other personal loans.

Deposits and bills of exchange (B/E) at end-August 2013 expanded by 8.1 percent from the same period last year, continuing to slow down from the previous quarter which stood at 10.4 percent. The slowdown in deposits and B/E was apparent in all deposit products and from both corporate and households, partly because depositors switched to invest in other financial assets. As such, the slower growth in deposits and B/E, compared with that in private credits, led to a persistent increase in the Loan to Deposit and B/E ratio from 93.4 percent at the end of 2013 Q1, to 95.3 percent at the end of 2013 Q2, and to 95.7 percent at end-August 2013. Looking ahead, competition for deposits was expected to continue, as reflected by the relatively high interest rates of special deposit products. High competition in deposit mobilization was in part to support continued growth in demand for credits of both the private and public sectors, as well as to support financial institutions' need to maintain liquidity in times of a highly volatile global financial environment.

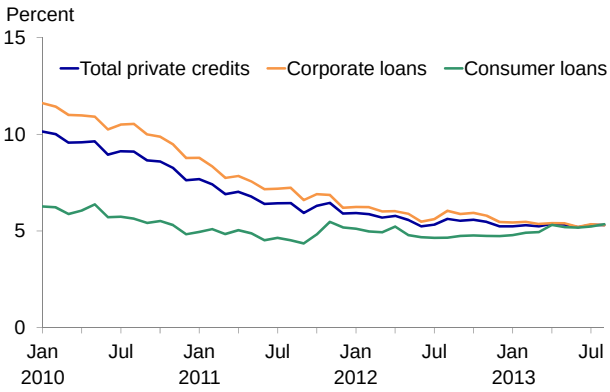
Stability of financial institutions

The overall stability of financial institutions in 2013 Q2 remained sound, as reflected by strong profitability, high capital adequacy ratio and healthy asset quality.

Commercial banks continued to pose strong profitability in 2013 Q2 whereby net profit increased from 52.1 billion baht in the previous quarter to 58.1 billion baht **(Table 3.1)**. The increase in profitability was attributable to higher interest income, as well as one-off profit from the sale of a subsidiary by a

particular commercial bank. However, excluding this one-off profit, net profit of commercial banks overall would decline by 6.6 percent from the previous quarter to stand at 45.8 billion baht. The decline in profitability was partly due to an increase in provisioning for bad and doubtful loans given heightened uncertainties in the economic outlook. Despite this fact, commercial banks' capital remained strong and even though the ratio of capital adequacy at the end of 2013 Q2 edged down slightly from the previous quarter to register at 15.7 percent, it remained far greater than the minimum legal requirement of 8.5 percent. In addition, loan quality remained intact, as reflected by the delinquency and NPL ratios of private credits which continued to stabilize at a low level of 5.3 percent **(Chart 3.7)**. Nonetheless, liquidity in the banking sector tightened slightly, as reflected by an increase in the Loan to Deposit and B/E ratio that had been rising continuously, mainly due to high credit growth.

Chart 3.7 Delinquency and NPL ratio



Source: Bank of Thailand

Going forward, key risks that would warrant close monitoring included domestic and global economic outlook, particularly the slowdown in the Thai economy that could affect the private sector's debt servicing ability and, hence, loan quality in the next periods.

3.3 Non-financial sectors

Stability in non-financial sectors remained intact overall. Household income and employment were high. However, the slowing economy that began to affect corporate profitability could pose a threat to debt servicing abilities of households and corporates in the periods ahead.

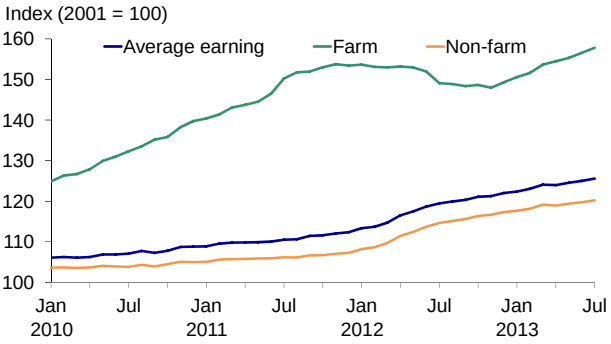
Household sector

Stability of the household sector remained sound, with high levels of employment and household income. Debt servicing ability also stayed intact, though risks could increase from an economic slowdown.

Household income and employment remained high, as reflected by the rising average income in both farm and non-farm sectors **(Chart 3.8)**. Employment conditions continued to be favorable, as indicated by the low seasonally-adjusted unemployment rate of 0.9 percent in July 2013. With regard to household debt, the ratio of household loans (provided by financial institutions) to GDP increased from 77.6 percent at end-2013 Q1 to 79.2 percent at the end of the second quarter due to the economic slowdown. Household liquidity tightened, as reflected by a small decline in the ratio of household financial assets to debt from the previous quarter to 209.4 at end-2013 Q2 **(Chart 3.9)**. However, although household loans continued to exhibit strong growth, they were likely to be on a declining trend, falling from 16.2 in 2013 Q1 to 15.7 percent in 2013 Q2 **(Chart 3.10).**

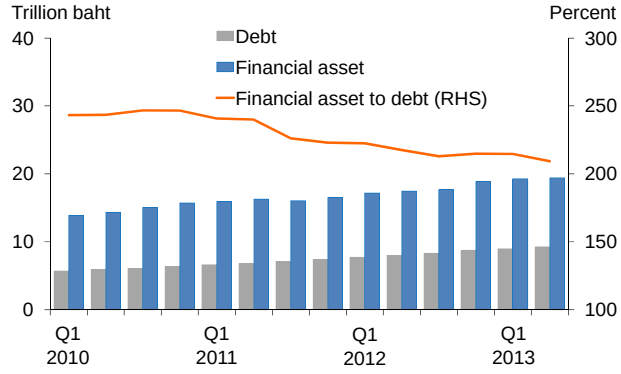
Meanwhile, debt servicing ability of households remained sound, as reflected by a low delinquency and NPL ratio despite a slight increase from 4.9 percent at the end of 2013 Q1 to 5.2 percent at the end of 2013 Q2, which was mainly attributed to auto leasing. Households' debt servicing ability would thus be closely monitored in the periods ahead, especially if the Thai economy continued to slow down and affect household income.

Chart 3.8 Household income*



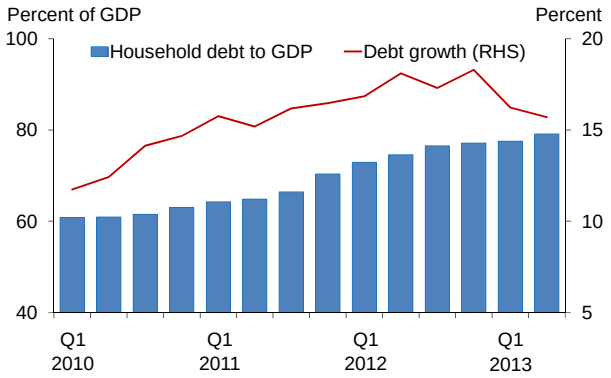
Note: *seasonally adjusted, real income (12-month moving average)
Sources: Office of Agricultural Economics, National Statistics Office, calculations by Bank of Thailand

Chart 3.9 Ratio of financial assets to debt*



Note: *Loans to households from financial institutions
Source: Bank of Thailand

Chart 3.10 Ratio of household debt* to GDP



Note: *Loans to households from financial institutions
Source: Bank of Thailand

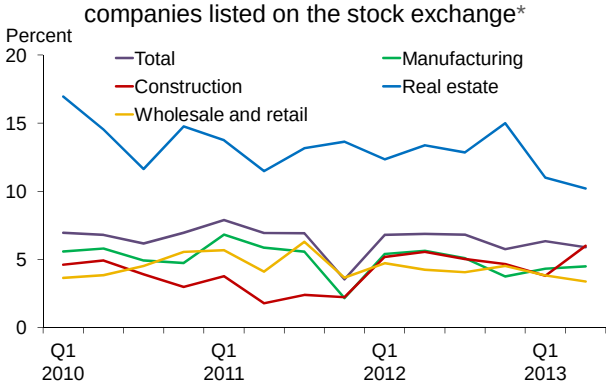
Corporate sector

Corporate profitability in 2013 Q2 declined slightly from the previous quarter due to an increase in production costs, causing debt servicing ability of corporates to weaken overall. Nevertheless, liquidity and debt burden remained intact.

Corporate profitability in 2013 Q2 declined slightly owing to higher production costs, particularly in the real estate sector where wages and construction material costs increased significantly, while sales grew at a rate similar to the previous quarter. As a result, corporate profitability, as reflected by the Operating Profit Margin (OPM) fell from 6.4 percent in the previous quarter to 5.9 percent at the end of 2013 Q2 **(Table 3.1).** In particular, profitability of the real estate and wholesale and retail sectors had declined for the second consecutive quarter. Nevertheless, profitability of the construction sector, in particular construction companies in the real estate sector, increased quite significantly from the previous quarter, thanks to pent-up demand for condominium construction **(Chart 3.11).** Meanwhile, debt servicing ability of the corporate sector weakened slightly in 2013 Q2, as reflected by a reduction in the Interest Coverage Ratio (ICR) from 3.4 at the end of last quarter to 3.1 at the end of 2013 Q2. In this connection, there was a significant decrease in the real estate sector's ICR, from 4.2 at the end of last quarter to 3.0 **(Chart 3.12).** Nevertheless, liquidity and debt burden remained intact, as reflected by the Current Ratio (CR) and Debt to Equity Ratio (D/E) which stabilized at 1.5 and 0.8, respectively **(Table 3.1).**

Looking ahead, key risks that required close monitoring included an event of QE tapering which could lead to higher Thai baht volatility, and an economic slowdown which could hurt corporate profitability, going forward.

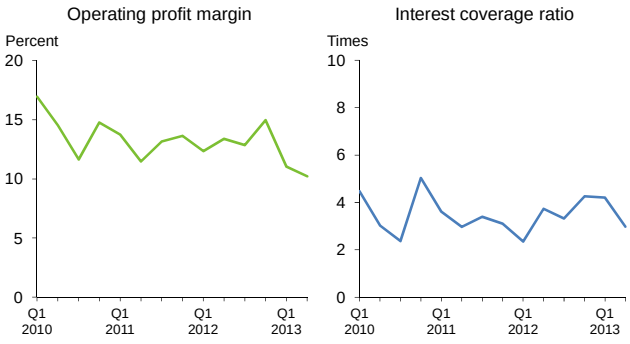
Chart 3.11 Operating profit margin of non-financial companies listed on the stock exchange*



Note: *Median

Sources: Stock Exchange of Thailand and calculations by Bank of Thailand

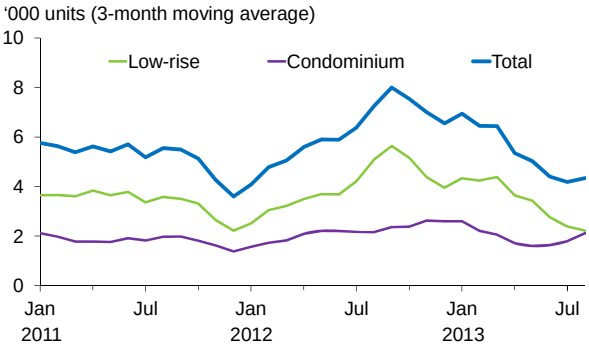
Chart 3.12 Real estate sector's profitability*



Note: *Median

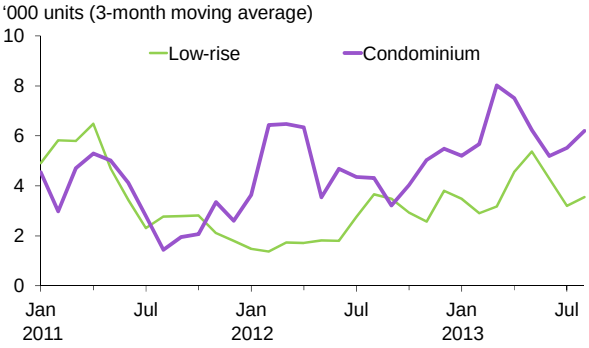
Sources: Stock Exchange of Thailand and calculations by Bank of Thailand

Chart 3.13 Number of new mortgage approvals by commercial banks*



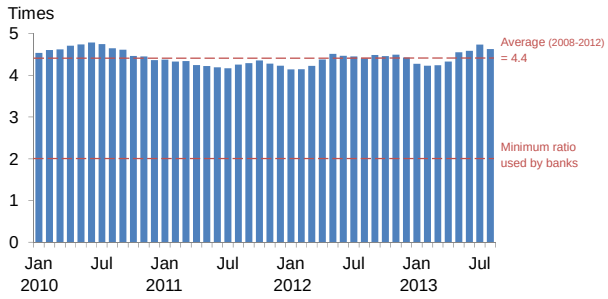
Note: *3-month moving average
Source: Bank of Thailand

Chart 3.14 Number of new launches in Bangkok and its vicinity*



Note: *3-month moving average (seasonally adjusted data as of August 2013)
Source: Agency for Real Estate Affairs (AREA) and calculations by Bank of Thailand

Chart 3.15 Debt Service Coverage Ratio (DSCR)



Note:
(1) DSCR = monthly income/monthly debt payment (principal and interest)
(2) Calculated for new mortgages in Bangkok and its vicinity
(3) 50th percentile (3-month moving average)
(4) Includes only debt services for new mortgages by commercial banks
Source: Bank of Thailand

Real estate sector

Stability in the real estate sector remained sound overall. Market conditions in Bangkok and its vicinities began to improve after slowing down in the previous periods. Nonetheless, risks that would render monitoring included the problem of labor shortages and rising costs of construction material which could affect development of the real estate sector going forward, as well as a slowdown in the Thai economy which could affect housing demand in the periods ahead.

Stability of the real estate sector remained sound, where market conditions were likely to improve, both in terms of demand and supply, after having slowed down in the previous periods. On the demand side, the number of new mortgage approvals by commercial banks for properties in Bangkok and its vicinities began to increase in August 2013 **(Chart 3.13).** Meanwhile, on the supply side, the number of new openings for both low-rise housing and condominiums also began to increase after having slowed down in the previous periods **(Chart 3.14).** In this regard, prices of most condominiums were still under 3 million baht per unit.

Meanwhile, lending standards of commercial banks remained satisfactory. Some tightening of lending standards on new mortgages were starting to be observed, after having loosened somewhat during the beginning of the year. This was reflected by the debt service coverage ratio (DSCR) in August 2013 of 4.7, which was higher than the five-year's average of 4.4 **(Chart 3.15).**

Though stability remained sound overall, most entrepreneurs would still be faced with skilled labor shortage problems which would lead to delays in delivery, as well as persistent increases in construction costs even though some firms had already switched to use less expensive finished

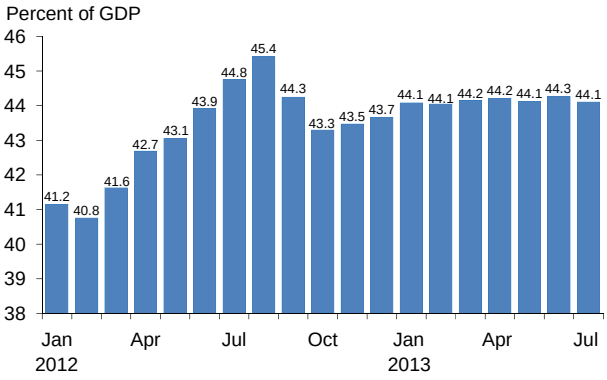
materials. Finally, households' purchasing power would need to be monitored closely due to a likely economic slowdown which could affect housing demand going forward.

Fiscal sector

Stability in the fiscal sector continued to be well maintained. Nonetheless, the government's spending plan, especially future quasi-fiscal and contingent expenditures, would need to be monitored. Furthermore, overall public debt was likely to increase in future periods.

Stability in the fiscal sector was well maintained overall, as reflected by a slight decline in the public debt to GDP ratio of 44.3 percent at end-June 2013 to 44.1 percent at end-July 2013 **(Chart 3.16)**, which was also lower than the fiscal sustainability threshold of 60 percent**.** Nonetheless, government spending plans would be closely monitored, in particular quasi-fiscal and contingent expenditures, such as pledging schemes on agricultural produce, which could eventually lead to higher public debt.

Chart 3.16 Public debt to GDP



Note: Fiscal year
Source: Public Debt Management Office

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability

Indicators	2010	2011	2012	2013					
				Q1	Q2	Q3	Jul	Aug	Sep
1. Financial markets sector									
Bond market									
Bond spread (10 years–2 years)	1.3	0.4	0.4	0.8	0.8	1.1	0.9	1.2	1.2
Equity market									
SET Index	1,032.8	1,025.3	1,391.9	1,561.1	1,451.9	1,383.2	1,423.1	1,294.3	1,383.2
Actual volatility (SET Index)[1/]	17.6	21.3	12.9	11.7	20.8	26.1	28.4	24.1	25.9
Price to earnings ratio (times)	11.5	13.2	14.1	17.6	17.5	15.5	15.9	15.2	15.4
FX market									
Actual volatility (baht)	3.4	4.8	4.6	3.8	6.4	7.2	7.3	6.1	8.0
Nominal effective exchange rate (NEER)	102.9	101.9	101.6	108.0	109.9	105.3	106.6	104.9	104.6
Real effective exchange rate (REER)	102.9	102.0	102.6	109.5	111.7	n.a.	107.9	105.3	n.a.
2. Financial institutions sector[2/]									
Minimum lending rate (MLR)[3/]	6.1	7.3	7.0	7.0	7.0	7.0	7.0	7.0	7.0
12-month fixed deposit rate[3/]	1.6	2.9	2.5	2.4	2.4	2.5	2.4	2.5	2.5
Capital adequacy									
Regulatory capital to risk-weighted asset (%)	16.2	15.1	16.3	15.9	15.7	n.a.	15.8	16.2	n.a.
Earnings and profitability									
Net profit (billion baht)	123.0	146.5	173.8	52.1	58.1	n.a.			
Return on assets (ROA)	1.1	1.2	1.2	1.4	1.2	n.a.			
Liquidity									
Loan to deposit and B/E	88.3	89.9	93.1	93.4	95.3	n.a.	94.9	95.7	n.a.
3. Household sector									
Debt to financial assets	246.6	222.9	214.9	214.7	209.4	n.a.			
NPL and delinquency ratio (%)									
Financial institutions :									
Personal loans	6.0	5.8	5.8	6.0	6.3	n.a.			
Credit cards	4.2	4.8	3.9	4.7	4.7	n.a.			
Thai commercial banks :									
Consumer loans	4.8	5.2	4.7	4.9	5.2	n.a.			
Mortgage loans	4.1	4.0	3.7	3.7	3.7	n.a.			
Auto leasing	7.4	9.2	7.4	7.7	8.5	n.a.			
4. Non-financial corporate sector [4/]									
Operating profit margin (%)	6.6	6.3	6.4	6.4	5.9	n.a.			
Debt to equity ratio (times)	0.8	0.8	0.8	0.8	0.8	n.a.			
Income coverage ratio (times)	4.3	4.4	3.6	3.4	3.1	n.a.			
Current ratio (times)	1.5	1.6	1.5	1.5	1.5	n.a.			

Table 3.1 Sectoral Indicators for assessing risks and vulnerabilities to financial stability (cont.)

Indicators	2010	2011	2012	2012					
				Q1	Q2	Q3	Jul	Aug	Sep
5. Real estate sector									
3-month moving average of the number of approved mortgages from banks (Bangkok and its vicinity)	62,032	62,522	73,600	19,651	14,757	n.a.	4,703	4,863	n.a.
Single-detached and semi-detached houses	18,600	18,824	22,133	5,441	4,199	n.a.	1,144	1,054	n.a.
Townhouses and commercial buildings	21,016	21,802	25,567	7,319	5,356	n.a.	1,612	1,537	n.a.
Condominiums	22,416	21,896	25,900	6,891	5,202	n.a.	1,947	2,272	n.a.
3-month moving average of the number of new openings (Bangkok and its vicinity)	112,269	86,587	86,665	28,462	33,169	n.a.	8,716	9,751	n.a.
Single-detached and semi-detached houses	18,581	20,724	12,297	4,011	4,174	n.a.	1,026	1,348	n.a.
Townhouses and commercial buildings	33,734	25,002	16,821	5,555	10,048	n.a.	2,172	2,203	n.a.
Condominiums	59,954	40,861	57,547	18,896	18,947	n.a.	5,518	6,200	n.a.
Housing price index[5/]									
Single-detached houses (including land)	100.6	104.9	106.2	107.8	109.4	n.a.	111.0	112.0	n.a.
Townhouses (including land)	105.6	110.2	113.2	118.3	118.6	n.a.	121.1	122.7	n.a.
Condominiums	91.1	113.9	114.8	118.7	117.6	n.a.	118.7	119.3	n.a.
Land	106.8	111.4	117.2	123.2	120.6	n.a.	120.8	122.8	n.a.
6. Fiscal sector									
Public debt to GDP (%)[6/]	42.5	40.3	43.7	44.2	44.3	n.a.	44.1	n.a.	n.a.

[1/] Daily volatility (using exponentially weighted average method)

[2/] Based on data of all commercial banks

[3/] Average value of 4 largest Thai commercial banks

[4/] Only listed companies on SET (median)

[5/] Based on data of new approvals by commercial banks using hedonic regression method (January 2010 = 100)
(Due to the fact that the structure of the housing market has changed significantly, the Bank of Thailand is currently improving the price index to better reflect the structure change)

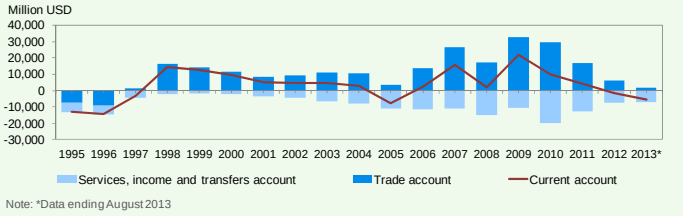
[6/] Fiscal year

The evolution and outlook of Thailand's current account balance

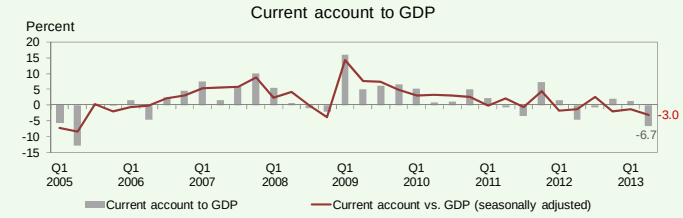
The evolution of Thailand's current account balance

Following the 1997 crisis, Thailand's current account balance has continuously been in surplus, due mainly to the trade surpluses. This reversed from the pre-1997 period where the current account was persistently in deficit, on the back of rapidly increasing trade deficits following the economic expansion in Thailand, while imports for investments accelerated, particularly in the real estate sector where speculative investments were at a high level. In addition, these investments were mostly financed by foreign loans. As a consequence of speculative demand, asset prices went beyond their fundamental value, causing foreign investors to lose confidence in the Thai economy and led to attacks on the Thai baht. This was induced by the fact that Thailand liberalized its capital account while maintaining a fixed exchange rate regime, which eventually led to the economic crisis in 1997.

Chart 1 Development of the Thai current account balance



Note: *Data ending August 2013



Source: Bank of Thailand

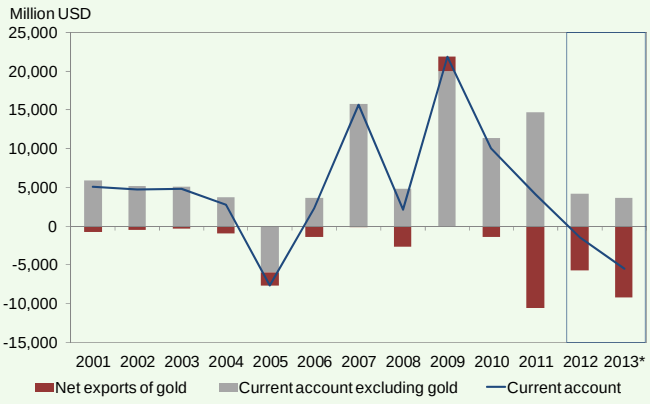
From 2012 to 2013 Q2, the current account turned deficit once again, with the ratio of the current account deficit to GDP standing at 6.7 percent in 2013 Q2. This raises the question of whether the present current account deficit should be a cause for concern as in the past **(Chart 1)**.

Causes of the present current account deficits in Thailand

The deficits in today's current account balance are different from that prior to the 1997 economic crisis, because this time the current account deficits are not a reflection of a heating economy or imbalances in economic fundamentals. The causes of the recent current account deficits in Thailand include the following.

(1) An increase in net imports of gold following high returns on gold investment.

Chart 2 Gold trade and the current account balance in Thailand

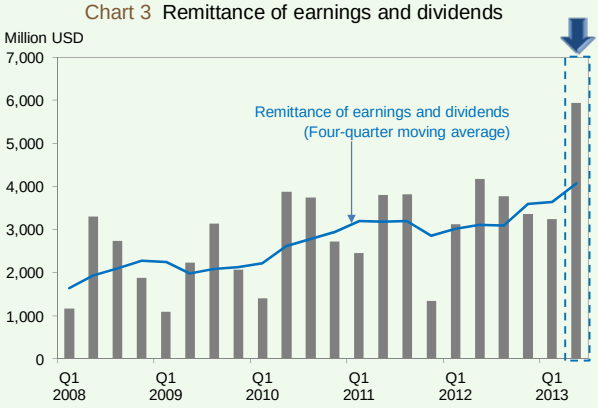


Note: *Data ending August 2013
Source: Bank of Thailand

In recent periods, net imports of gold increased in line with investment demand for gold which was partly due to low interest rates and the volatile stock market. However, as gold does not have any impacts on real economic activities, such as on manufacturing production and employment, when assessing economic stability from the current account perspective, the current account excluding gold should be used. In this connection, when gold is excluded, the Thai current account balance remains in surplus, reflecting that Thailand's overall competitiveness has not deteriorated much **(Chart 2).**

(2) Higher-than-normal earnings and remittance of funds.

Chart 3 Remittance of earnings and dividends



Source: Bank of Thailand

In 2013 Q2, earnings and remittances were higher than normal due to strong business performance in 2012, particularly in businesses relating to automobiles which benefited from the first-car tax rebate scheme. In addition, remittances of earnings and dividends back to parent companies abroad are normally high in the second and third quarter of each year **(Chart 3).**

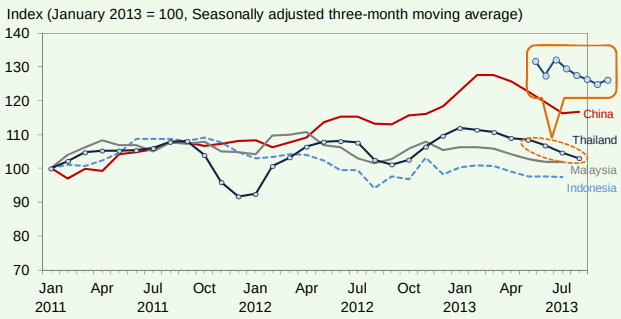
(3) An increase in reinvested earnings of foreign businesses, in line with last year's strong business performance.

Reinvested earnings are considered payments under the services, income and transfers account. This increase in payments is, however, not of concern as foreign businesses reinvested their earnings back into Thailand and did not cause any changes to the overall balance of payments.

Outlook for Thailand's current account balance

Thailand's current account to GDP ratio for the remainder of 2013 is expected to face a lower deficit compared to that in the second quarter, due to anticipated improvements in the trade balance at year-end following the gradual global economic recovery. The services, income and transfers balance is also likely to experience a lower deficit thanks to continuous expansion in tourism receipts. In addition, remittances of earnings and dividends of foreign businesses are expected to decline, owing to lower business performance, especially those relating to automobiles, on account of waning effects from the first-car tax rebate scheme. Moreover, remittances of earnings and dividends are normally low in the last quarter of the year due to seasonal factors.

Chart 4 Thai export index compared to other countries in the region



Source: Bank of Thailand

In the long term, the dynamic of Thailand's current account will be different from that of the past. In this regard, the current account is likely to record a deficit in response to a slower rate of global economic growth. In addition, Thailand's competitiveness in some products, especially electronics, has declined, which will lead to a slower recovery for Thai exports compared to other countries in the region **(Chart 4)**. Meanwhile, imports are expected to expand following the government's large infrastructure investment projects. Nevertheless, an important issue that should be considered when assessing whether Thailand's current account deficit is an issue of concern, is the cause of the deficits. Should the deficit occur from factors that impart negative impacts on the real economy and financial sector--for example, if Thailand experienced excessive imports for consumption such that the country was faced with a higher debt burden due to reliance on foreign loans, while domestic investment is low—then it would be a cause of concern. Not only do these factors not lead to long-term development, but they also increase risks in financial stability and external stability. However, if the current account deficit is a result of extraordinary factors which occur temporarily such as in the current situation, while Thailand's external stability remains sound, then the current account deficit may not be of great concern. Furthermore, Thailand is now under a managed floating exchange rate regime which allows flexible exchange rate and thus the current account to adjust in accordance with market mechanisms.